



Of Hyperscalers, Hikes and Hormuz

It has been a busy summer, and even a busy year, for the DB Credit Strategy team.

You would never know this by looking at credit spreads, where aggregate volatility has largely been absent. \$IG spreads of 78bps are unchanged YTD, while \$HY spreads of 265bps are 1bp tighter. It is a similar story in Europe, where €IG spreads of 82bps and €HY spreads of 272bps are a mere 4bps & 7bps wider in 2026, respectively. But **inbound client questions continue to multiply** on a growing number of topics, especially regarding the impact of 1) hyperscaler issuance, 2) rising sovereign yields, 3) \$100+ oil prices, 4) ECB & Fed hikes & 5) 2027 French election risks on future credit performance

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What is our take on this panoply of topics and their impact on spreads? To address today's #1 investor concern, we aren't overly concerned with hyperscaler issuance as a near-term catalyst for wider spreads. In \$IG, demand is rampant from both US & non-US sources, with [limited signs of broader re-leveraging outside the hyperscalers](#). Our corporate bond supply/demand imbalance indicator from the Fed Flow of Funds even implies the \$IG market today is undersupplied ([Figure 15](#)). While some hyperscaler issuance may migrate to Europe, we see fairly strong demand for €IG credit from fixed-maturity funds and life insurers, in a world of even less re-leveraging activity than in the US. We wouldn't count on a supply wave here sending spreads wider.

What does concern us is that credit yields are now rising at an exceptionally fast pace, the fastest since 2022 in both the US & Europe, tightening financial conditions for today's most leveraged borrowers ([Figure 6](#)). And this may have more staying power than the market is pricing. **The ECB has already hiked twice this year, with a third hike on the way, possibly as early as next month, while the Fed is set to start hiking on Wednesday** with inflation firmly above target and Kevin Warsh's prior concerns on higher real rates having no demonstrably negative impact on the US economy since the July FOMC. These hikes are being delivered against an investor mindset that still believes the argument of financial repression will ultimately win the day. The problem with that argument, tactically at least, is that pre-existing above-target inflation is combining with 1) an AI capex buildout running into capacity constraints (semiconductor chip supply & skilled labour shortages) & 2) rising commodity prices from Middle East tensions, to inevitably force more central bank rate hikes from here to maintain policy credibility. And while a geopolitical solution to reopen the Strait of Hormuz still does exist, the recent return of Chinese oil imports after a COVID like collapse in Chinese demand through June indicates that commodity prices still have two-way risks around



current prices, and may not necessarily fall as much as expected, even in the event of a surprise deal announcement tactically.

Now rate hikes do not imply a policy error, especially in the US, where recession risks are sub-10% according to our models through the 1H'27 ([Figure 7](#)). But this is still a K-shaped, or “fire & ice”, economy. You can see this particularly in [Figure 9](#), where aggregate \$IG EBITDA growth is rising strongly, but median \$IG sector EBITDA growth is still stuck at late 2022 levels. In Europe, the situation is even more challenged, with aggregate €IG revenue growth around 0% ([Figure 8](#)).

Simply put, higher rates should expose the “icy” parts of the US & European economies in greater clarity than before. In the US, that is likely to manifest itself via a (even more) sluggish US consumer, a weak housing market & deteriorating credit quality in floating-rate private credit & leveraged loan software names. In Europe, the risks remain in very weak cyclical sector earnings & mounting challenges in leveraged Bs, where higher rates should engineer more fundamental headwinds, without providing any positive technical tailwinds, as yields buyers restrict themselves to buying BB & higher-rated credits. [As we wrote in late July](#), we hold to our view that unless central banks can credibly pivot in a dovish direction, the risk of a quick 20%+ spread widening will remain elevated, and we may be now starting that process. However, we have different regional views in terms of whether spreads would persist at such wider levels, or whether such a selloff would present a buying opportunity.

In the US, we are more confident in future spread performance, even if they were to temporarily overshoot fair-value levels. The narrow but powerful AI capex cycle continues to buttress the US economy, generating rapidly rising revenues & profits, while other measures of cycle health such as early-stage US bank loan delinquencies and bank lending standards remain in fine health. Technically as well, the \$IG market is materially better supported than the current consensus believes, with growth rates in net supply unremarkable vs. prior major issuance waves in 2015 & 2020. And with more attractive FX-hedged yields + rising European political risks (more on this later), we would expect more global flows to be re-directed toward \$IG in the months ahead. In addition, such low US recession risks imply that US Treasury yields are likely to stay elevated in many scenarios from here, which would help keep downward pressure on \$IG spreads, all else equal.

In US high-yield, valuations are more eye-watering. [As we previously wrote](#), over 75% of \$HY bonds are trading tighter than index spreads, with the median \$HY bond trading more expensive relative to the median \$IG bond than during the QE years of 2021. With \$HY fund flows far less stable than \$IG institutional demand, that leaves scope for some decompression. But even here, recent US spec-grade downgrade and default trends are beginning to slowly improve, suggesting no major spike in credit risk is upon us.

Hence, our fair-value targets are not materially wider from current levels in \$IG, while we do forecast a bit more pressure in \$HY. Our \$IG fair-value spread target is now 85bps (+7bps), while we expect fair-value \$HY spreads to widen to 315bps (+50bps). **We also expect US spec-grade default rates to remain sticky**, falling from 4.3% to 4% by year-end, and then staying at 4% through Q2'27. Higher rates will pose challenges for leveraged capital structures, but the strength of the US cycle should prevent defaults from rising.

In €-credit, the risk of spreads getting stuck at wider levels is a fair amount higher



than the US. We forecast fair-value €IG spreads at 95bps (+13bps), and €HY spreads at 345bps (+73bps). Unlike in the US, where the Fed is likely to hike twice this year into a world of strong aggregate revenue and capex growth, the ECB has already hiked twice into 0% €IG revenue growth & negative €IG capex growth, with a slight recovery in margins being driven by cost-cutting rather than any fundamental business improvements. A third ECB hike by year-end, coupled with the latest spike in commodity prices, is only going to make existing macro headwinds worse. As our recession indicator highlights, European economic downturn risks remain at average to slightly above average levels, and are bouncing around with commodity prices, as economy-wide profits (from the European national accounts) remain very sensitive to underlying inflation, particularly in a world of subdued pricing power. In addition, €-spec-grade credit metrics are turning in the wrong direction, with worsening net downgrade rates and default rate counts over the last 9 months, completely diverging from the improvements being seen in the US ([Figure 10](#) & [Figure 11](#)). Coupled with a more hawkish ECB outlook, that is why we expect European spec-grade default rates to remain stuck near current levels at 4.5% through the Q2'27.

Lastly, the political landscape in Europe risks getting very messy for global investors, with French budget negotiations already taking place in a fractured French legislature, ahead of April 2027 French elections where current polls suggest a reasonable likelihood of all French centrist party candidates being knocked out, before the final run-off election in May 2027. **Still, the largest near-term political risks reside in Germany**, not France, as the positive mood music on European assets looks to be highly conditional on continued German fiscal spending and successful reform efforts from the CDU/SPD coalition. This is still the base case. But the AfD's victory in the Saxony-Anhalt state election coupled with poor current polling numbers for Merz's CDU party in upcoming September 20th state elections suggest German politics could produce some unexpected surprises in the months ahead, especially given the AfD's rejection of large-scale federal fiscal spending + some rumblings of discontent in the current governing coalition.

What are our top trades on the back of this view?

1. **We keep our overweight of \$-credit vs. €-credit at an index level**, as the ECB hikes more into a weaker cycle and rising political headwinds. More specifically, we would underweight certain parts of European credit that look too expensive to us, such as 1) Yankee banks in \$IG credit, 2) €AT1s vs. \$AT1s, & 3) XOVER (pre-roll) vs. CDX HY
2. **Prefer global BBBs over BBs**. Limited signs of investment-grade re-leveraging and still ample demand from yield buyers should keep BBBs reasonably supported even in a selloff. For BBs however, net supply trends have been higher in recent months, while fund flow demand is more volatile. Lastly, at the median bond level, global HY-IG spread differentials are more compressed than during the QE years of 2021. As we move toward 3 ECB hikes & 2 Fed hikes by year-end, this looks overdone.
3. **€-duration risk > €-credit risk**: Sovereign yields are selling off in an almost synchronized fashion, but as previously discussed, European growth trends look far different than in the US, and we know many European spec-grade firms are sensitive to a rise in funding costs, with European spec-grade credit downgrade and default rates already starting to worsen. If the ECB continues hiking, we would expect Bund curves to flatten as the market de-rates future growth. But this trade can also work in a risk-positive way. If a deal to reopen the Strait of Hormuz does materialise and



pushes commodity prices lower, Bund yields could decline rapidly, but €IG & €HY spreads would likely remain fairly rangebound, given current tight spread levels.



2026 Spread Targets, Default Rates, Picks/Pans

Figure 1: OAS Forecasts (Q4'26-Q1'27)

	OAS (vs. Gov)	
	Current	Q4'26-Q1'27
\$IG	78	85
\$HY	265	315
€IG	82	95
€HY	272	345
£IG	88	100

Source : Deutsche Bank, Bloomberg Finance LP

\$IG = Bloomberg US Agg Corporate; \$HY = Bloomberg US Corporate High Yield;

€IG = Bloomberg EuroAgg Corporate; €HY = Bloomberg Pan-European HY (Euro); £IG = Bloomberg Sterling Corporate

*The values are as of 11 September, 2026

Figure 2: Corporate Credit Default Rates Forecasts

Market	Trailing 12m default rates		
	Current	YE'26	Q2'27
US Spec-Grade	4.3%	4.0%	4.0%
EU Spec-Grade	4.5%	4.0%	4.5%

Source : Deutsche Bank, Moody's, S&P Credit

Figure 3: Credit Positioning Table

	Ratings	Curves	Top Sector Overweights	Top Sector Underweights	Off-Benchmark	CDS/Cash	XCCY
€IG	AA = A ≥ BBBsn	Duration ≤ Benchmark; OW 6-7y, UW 10-15y	Bank Senior Pref. Utilities, Ind. Goods & Serv., Telcos	Construction & Materials, Autos, Chemicals	BBBs = Bank T2 = €IG hybrids > BB = AT1 > B	€IG = Main	\$IG > €IG = €IG \$HY > €HY
€HY	BBs > Bs > CCC HY-rated subs of IG issuers > €HY Sen	-	-	Autos, Chemicals		€HY = XO	
\$IG	A = BBB	OW 1-7yr; UW +7yr	Large US Banks, Cap Goods, Hyperscalers, Utilities	Insurance, Consumer Cyclical, Consumer Staples, Pharma, Transports	BBB > BB	\$IG > CDX.IG	
\$HY	BB + CCC > B		Higher-rated Basic Industrials & Capital Goods, Wireless & Wirelines	Consumer Cyclical, Healthcare, Pharma, Software, Cable & Satellites		\$HY = CDX.HY	

Source : Deutsche Bank



Figure 4: Supply Forecast Table

	Gross Supply in bn			Net Supply in bn		
	2025	2026 (ytd)	2026 (e)	2025	2026 (ytd)	2026 (e)
€IG	674	525	710	219	177	230
\$IG	1597	1473	1950	525	715	947
€HY	138	94	145	47	37	60
\$HY	320	205	335	97	73	115

Source : Deutsche Bank, Bloomberg Finance LP, IHS Markit

Figure 5: Fallen Angel/Rising Star volumes

	€-Fallen Angels Notional in €bn	\$-Fallen Angels Notional in \$bn	€-Rising Star Notional in €bn	\$-Rising Star Notional in \$bn
2026 Ytd	6	38	13	34

Source : Deutsche Bank, ICE Indices, S&P Global / Markit



European Summary:

Higher yields are turning from **friend to foe**. Spreads have remained remarkably resilient despite the rates sell-off, higher energy prices and weakening fund flows. But depressed total returns and the growing yield competition from other fixed income assets are starting to challenge the market's goldilocks equilibrium. Broadly we still expect supportive **yield-driven demand** to be there. But a less attractive relative value proposal could still weigh on the scale of those inflows. In combination with a weakening European growth outlook and ample supply across €IG and €HY we expect that to lead to a moderate spread widening and decompression until year-end.

In **€IG**, we still favour 6-7yr tenors to stay ahead of fixed-maturity fund demand that we expect to remain supportive. On an already beaten up 15y+ segment we remain broadly neutral but recommend to **add in hyperscalers** here. 10-15y valuations we consider more stretched and recommend to keep portfolio duration slightly below benchmark. On sectors, we still consider the margin recovery among some European cyclicals like **Autos** and **Chemicals** rather fragile and retain our generally defensive stance. That said, we fine-tune by moving **Real Estate** from MW to UW, **Healthcare** from MW to OW and retain our OW on **Telcos** despite recent headwinds.

In **€HY** index levels spreads still mask large dispersion below the surface but have barely moved so far. BB spreads remain close to their tights, trading at lower spreads than HY-rated hybrids and only modestly wider than IG-rated hybrids. But a deteriorating European growth outlook, higher rates and a nearing LBO wave should bring more fundamental headwinds to genuine HY-issuers. That affirms our preference for hybrids over HY-rated senior debt. While it remains challenging to have **high conviction sector overweights** in the HY-space, we find the very tight spreads in some **cyclicals** particularly unappealing. We continue to believe that risk/reward remains particularly unfavorable in HY-rated **Autos** and retain our underweight there. Moreover, and after being overweight after spreads in **Chemicals** peaked and moving to a market-weight with most of the recovery behind us, we move to an **underweight** again

US Summary:

The summer hopes of a lasting détente in the US-Iran conflict seem to have evaporated as we approach the final quarter of the year. The ongoing conflict has led to **higher energy prices** and **inflation concerns** at a time when elevated government deficits were already putting upward pressure on sovereign yields. Credit spreads have widened modestly over the last few weeks, backing off multi-year tights in both \$IG and \$HY. Solid US growth and a **positive technical environment** should allow higher-rated credit markets to navigate tighter financial conditions. Therefore, we are forecasting mild spread widening through year-end, with \$HY further decompressing relative to \$IG.

In \$IG, we are neutral between **As and BBBs**, as we are not projecting significant divergence between \$BBB and \$A returns. The extra duration in As offsets their lower spread beta relative to BBBs in the context of a modest 7bp index widening by year-end. We prefer to be **underweight the long end** of \$IG credit curves, as valuations still appear quite expensive on a historical basis. Despite higher Treasury yields and light ex-hyperscaler supply, the excess return outlook remains weak. the one exception is that **we like Hyperscaler duration**, as valuations are cheap and we



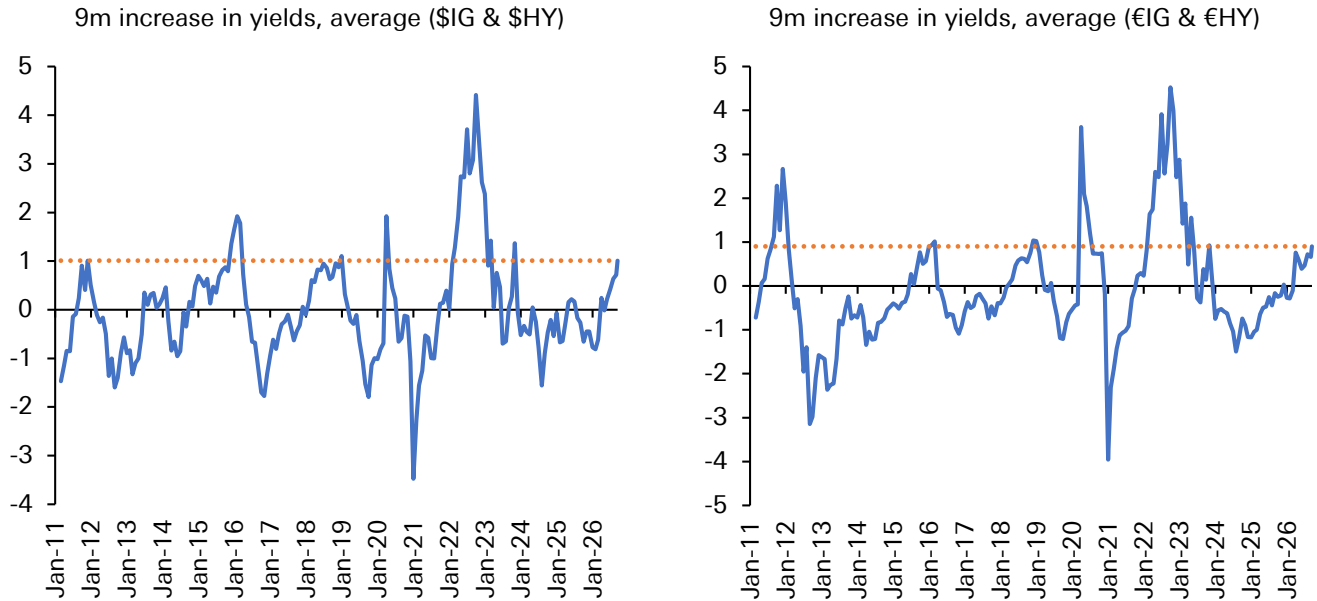
project their issuance becomes less concentrated in the long-end. Otherwise, we prefer the front end and are **overweight 1-7 year \$IG bonds**. In terms of sectors, we largely maintain our preference for avoiding **riskier consumer-oriented sectors** and overweighting sectors that benefit from the AI capex buildout. We have fine-tuned a few sector views by moving **Hyperscalers** back to an OW, downgrading some **Energy** subsectors to MW, and taking **Media** to UW.

For \$HY, we advocate a **barbell of \$BBs and \$CCCs versus \$Bs**. While both \$Bs and \$BBs are trading tight relative to their higher-rated peers, \$CCC-B decompression is occurring at levels more typically associated with economic distress. We recommend a market-weight position in **\$HY datacenters**, with an eye toward adding on further weakness as supply increases into Q4. The sector is highly levered but remains well supported by the AI capex cycle in the near term, with the risk of obsolescence still a long way off. Otherwise, with a forecast for \$HY spreads to widen by 50bps to 315bps by year-end, we maintain our overall sector preference framework: leaning away from acute spec-grade consumer-oriented risks, **aligning with the AI buildout where possible**, while still avoiding the most heavily leveraged pockets of \$HY.



Global Overview: The Story In Pictures

Figure 6: Stable spreads + rising sovereign yields are rapidly lifting corporate funding costs. The key now is to determine which regions (US vs. EU) and markets (IG vs. HY) are best able to withstand this tightening of financial conditions.



Source : Deutsche Bank, Bloomberg Finance LP



Figure 7: US recession risks remain low through Q2'27, given robust profits, limited signs of bank NPLs, and little sensitivity to rising commodity prices. In Europe the backdrop is more challenged, with downturn risks a bit above average. Corporate profits & margins are ebbing and flowing with commodity prices, and more ECB hikes by year-end won't help.

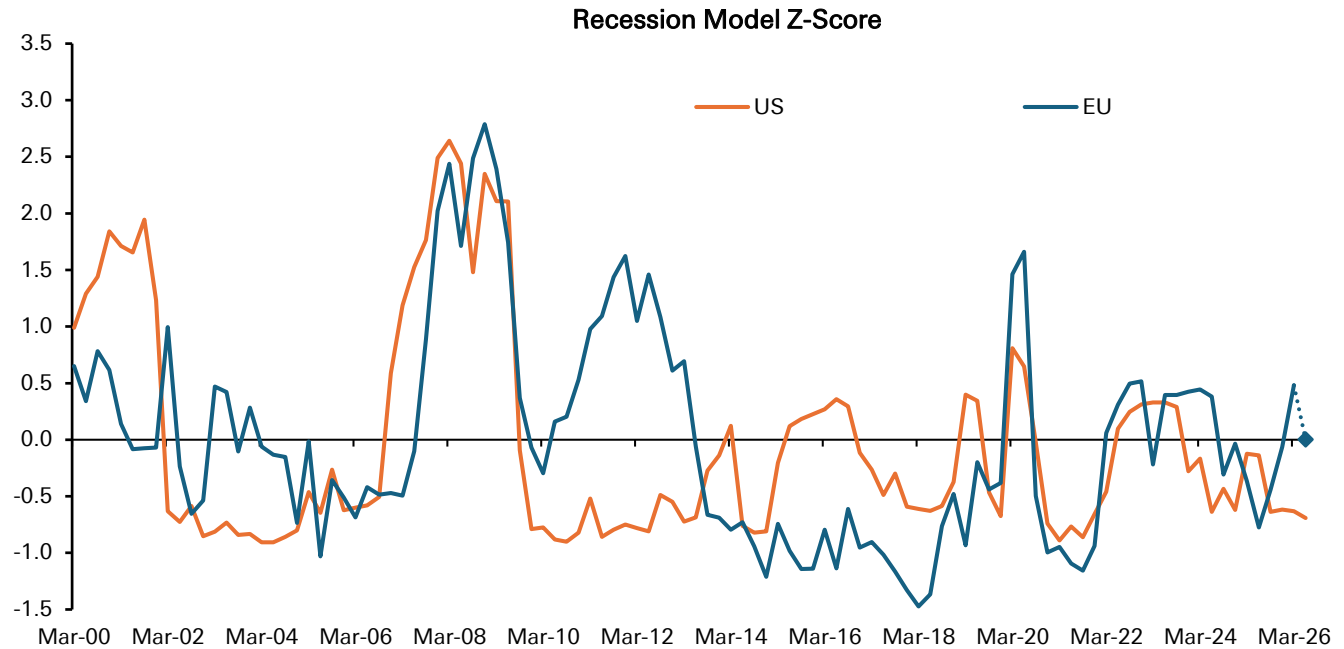
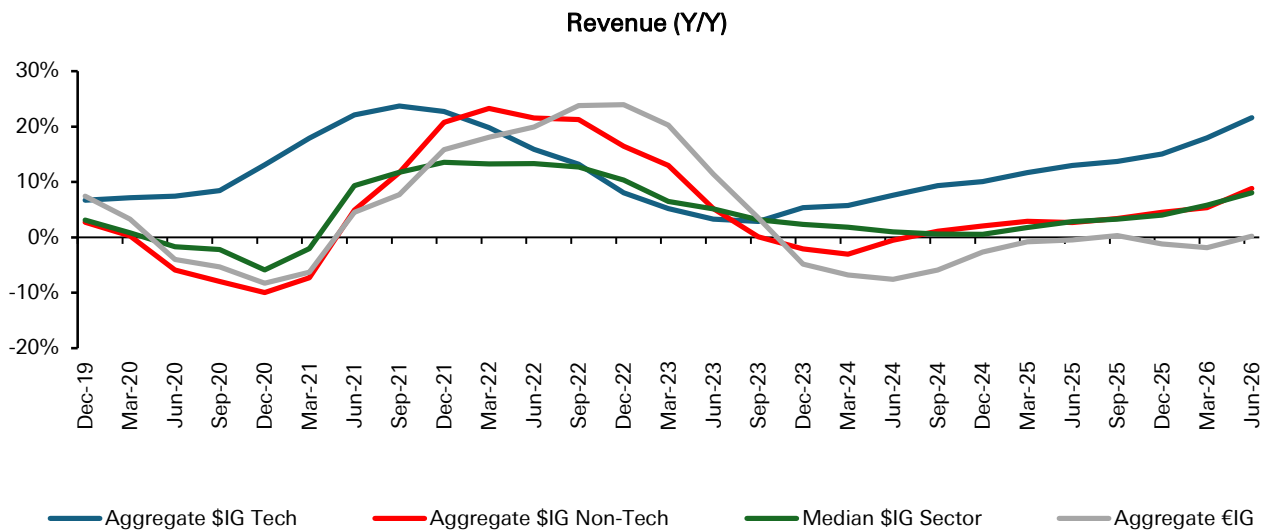


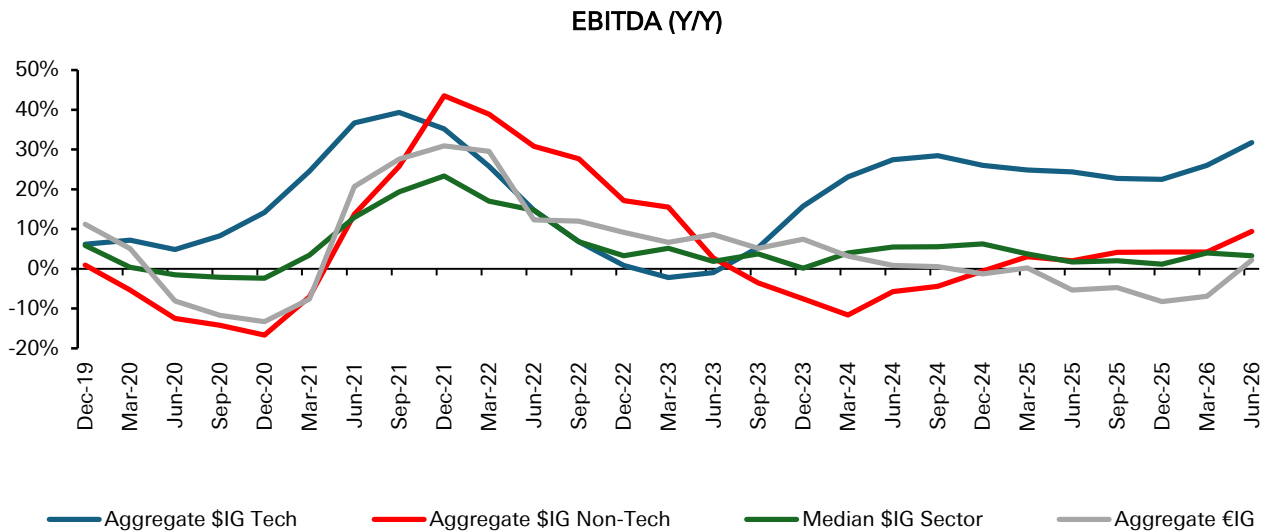
Figure 8: US corporate revenues are accelerating to the upside, from tech to non-tech to even the median US sector. In Europe, revenue growth is hovering around 0%.



Source : Deutsche Bank, Cognitive Credit

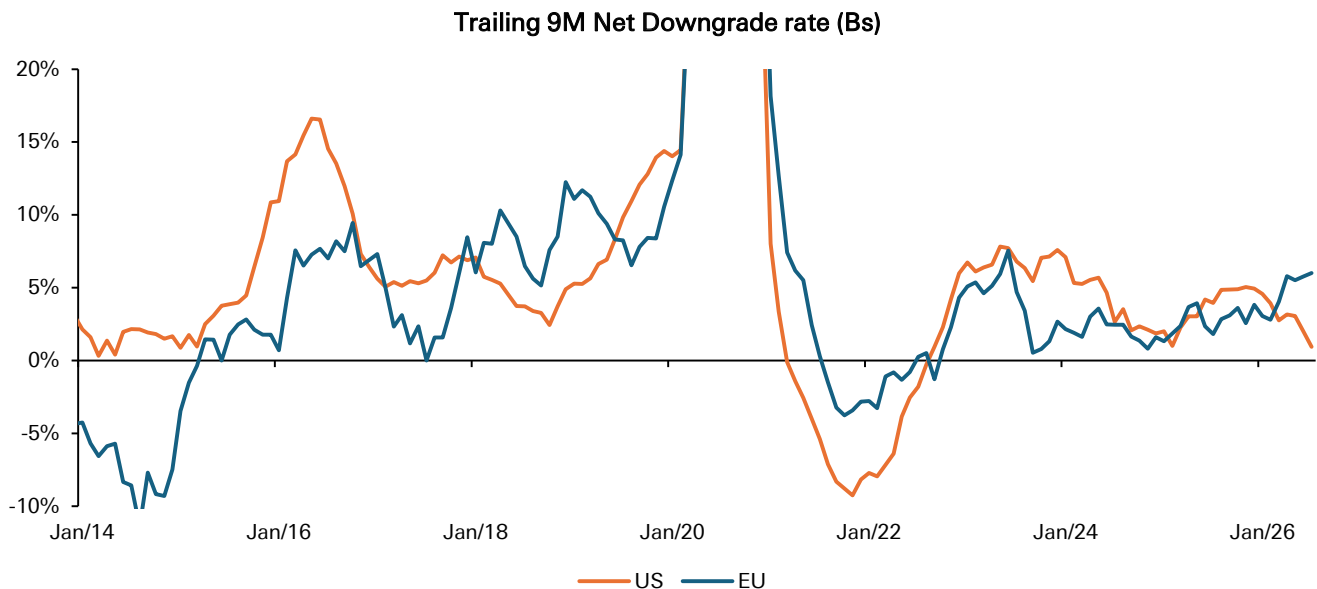


Figure 9: US corporate EBITDA growth is more K-shaped. Aggregate tech & non-tech earnings are rising, but the median US sector EBITDA growth is sluggish. In Europe, EBITDA has picked up, but is below average & mainly due to cost cutting.



Source : Deutsche Bank, Cognitive Credit

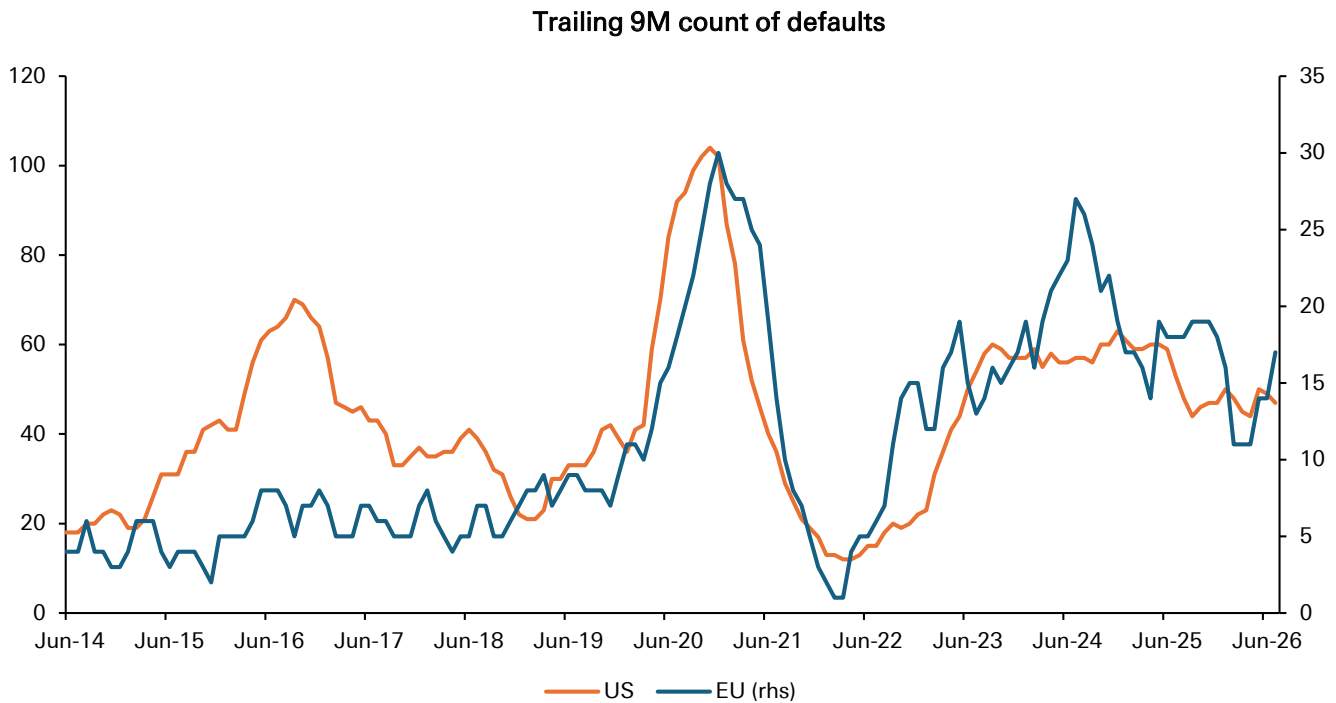
Figure 10: European spec-grade markets are showing more signs of deterioration than the US. €B net downgrades are starting to lift off, even as \$B net downgrade rates fall...



Source : Deutsche Bank, S&P Credit

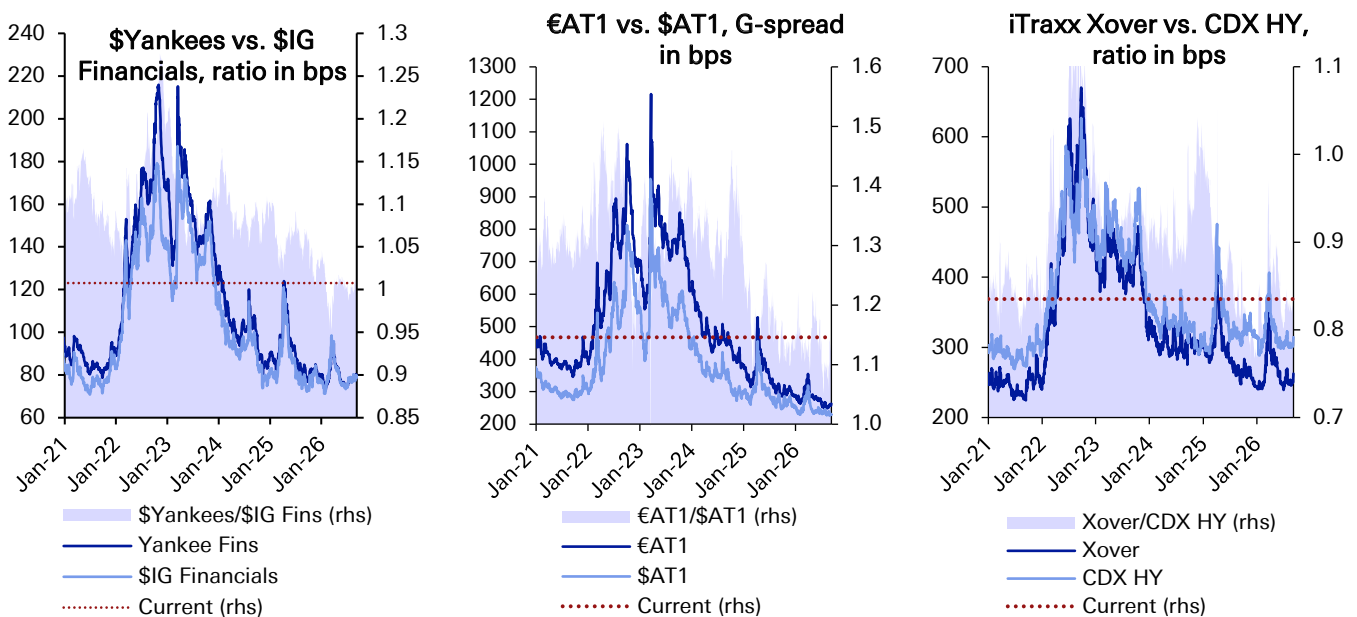


Figure 11: ... and the story is similar with defaults. €-spec grade defaults are starting to trend higher, while \$-spec grade defaults are steady. This is another reason we have lifted our forecast for €-default rates through Q2'27.



Source : Deutsche Bank, S&P Credit

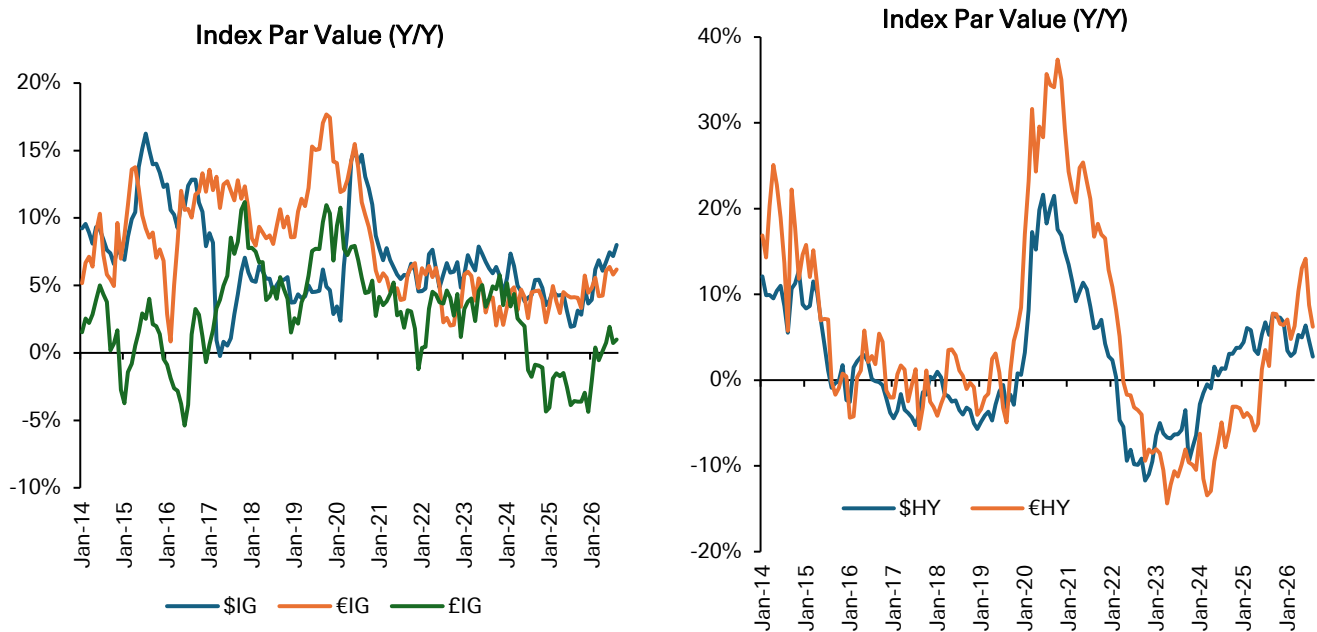
Figure 12: Credit investors remain too sanguine on European risk. Whether we look at Yankee banks in \$IG credit, €AT1s or XOVER, all of these markets trade quite expensive vs. their \$-counterparts



Source : Deutsche Bank, IHS Markit, Bloomberg Finance LP,

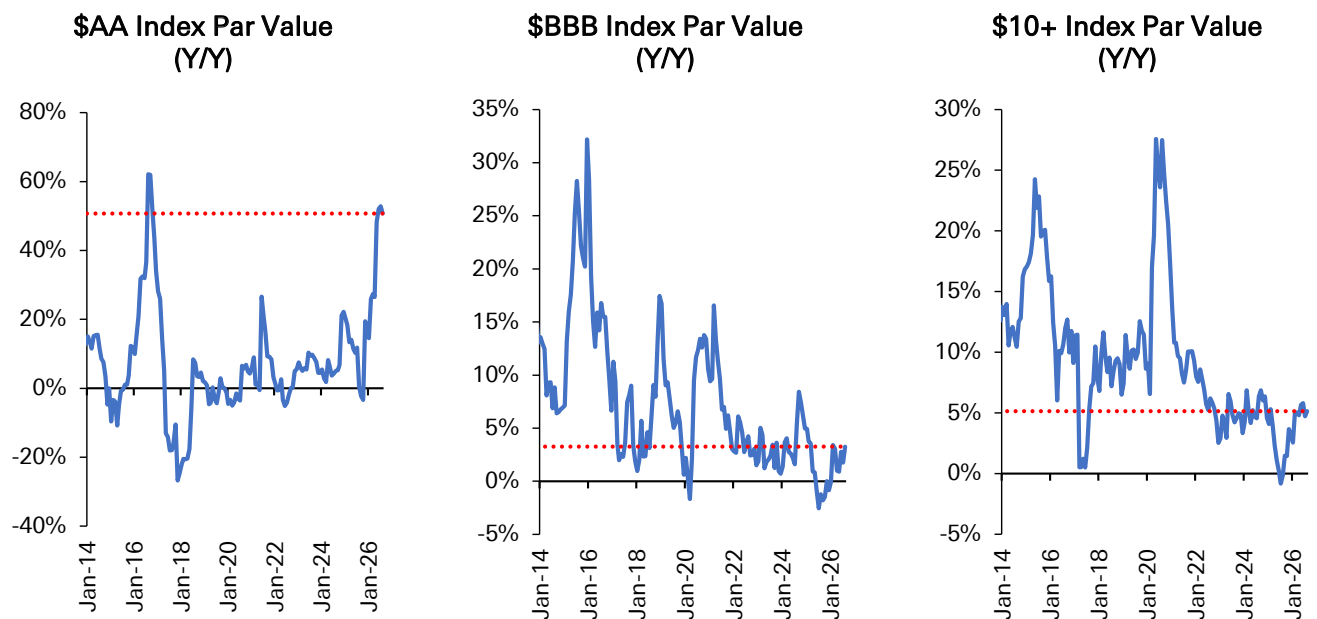


Figure 13: Global net supply trends are rising, but not at an alarming rate. Even in the \$IG market, index par value growth is just slightly above average historically. There has been a relatively larger increase in HY net supply, as data centre issuance (US) and hybrid/LBO issuance (Europe) has risen.



Source : Deutsche Bank, Bloomberg Finance LP

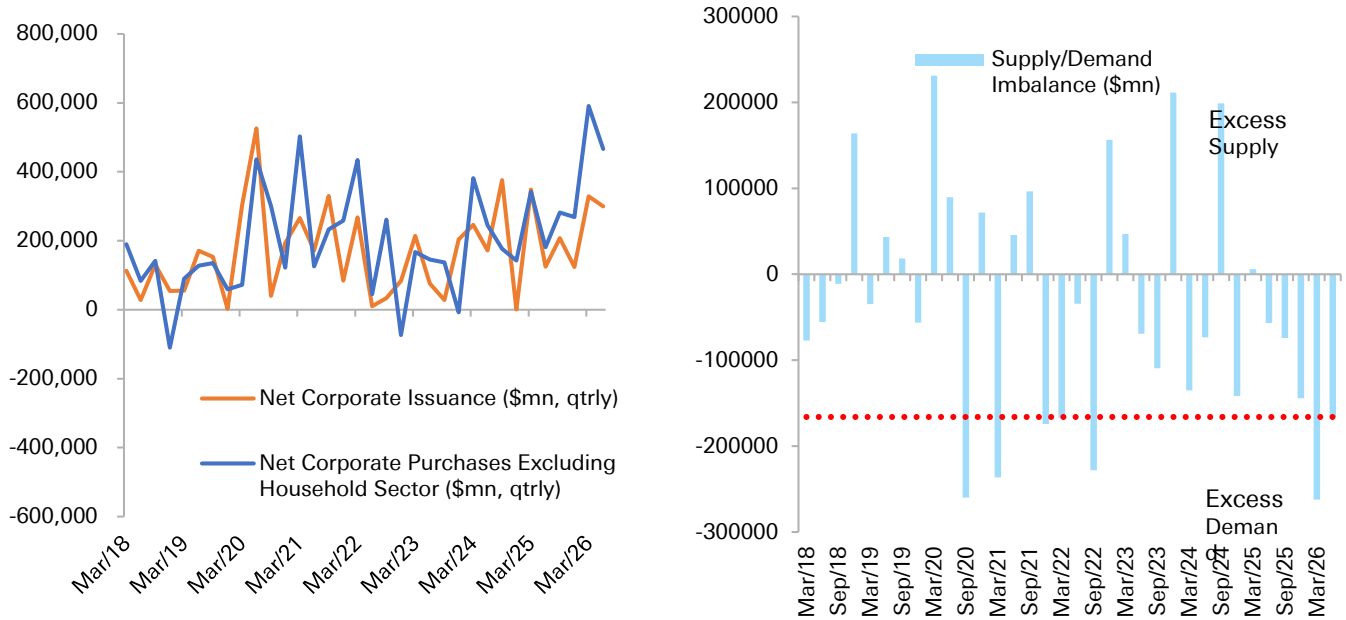
Figure 14: Hyperscalers are boosting higher-rated \$IG issuance. But the current supply spike pales in comparison to the major waves seen in 2015 & 2020. Outside the AI complex, the desire to re-leverage is limited, with \$BBB index growth paltry. Even 10yr+\$IG supply is subdued, with ex-hyperscaler long-end bonds fairly non-existent.



Source : Deutsche Bank, Bloomberg Finance LP

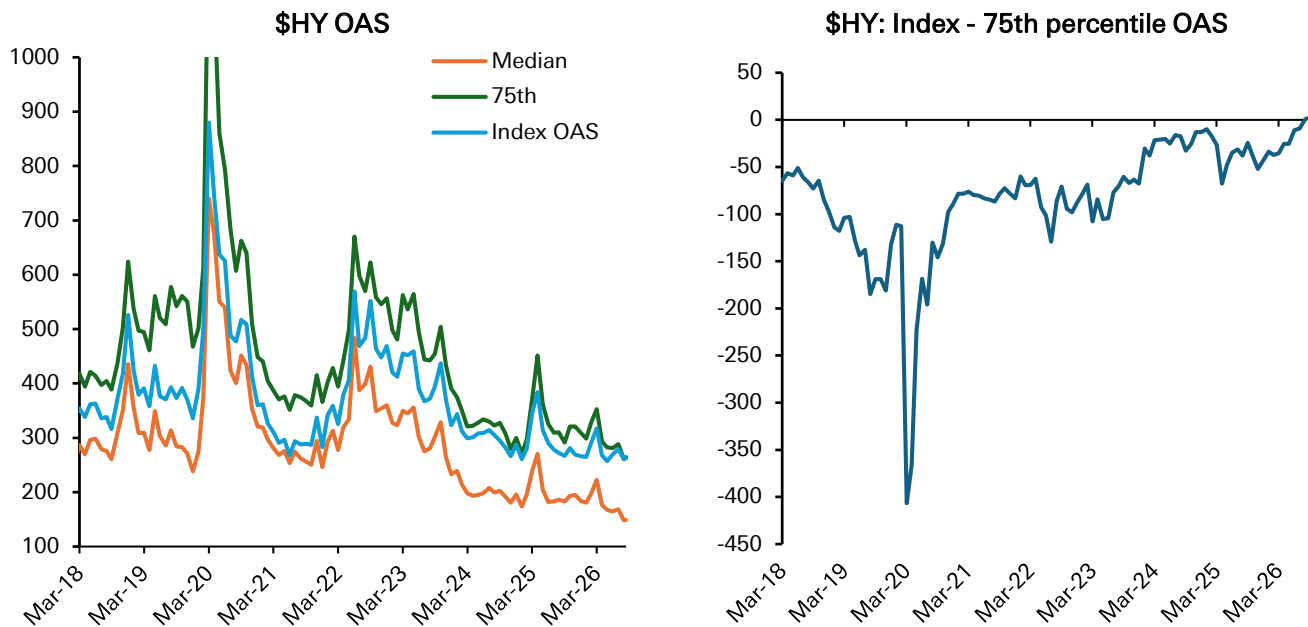


Figure 15: Despite rising supply, our Flow of Funds technical imbalance indicator points to an extremely robust demand environment for \$IG credit, on par with the historical experience post-COVID.



Source : Deutsche Bank, Haver

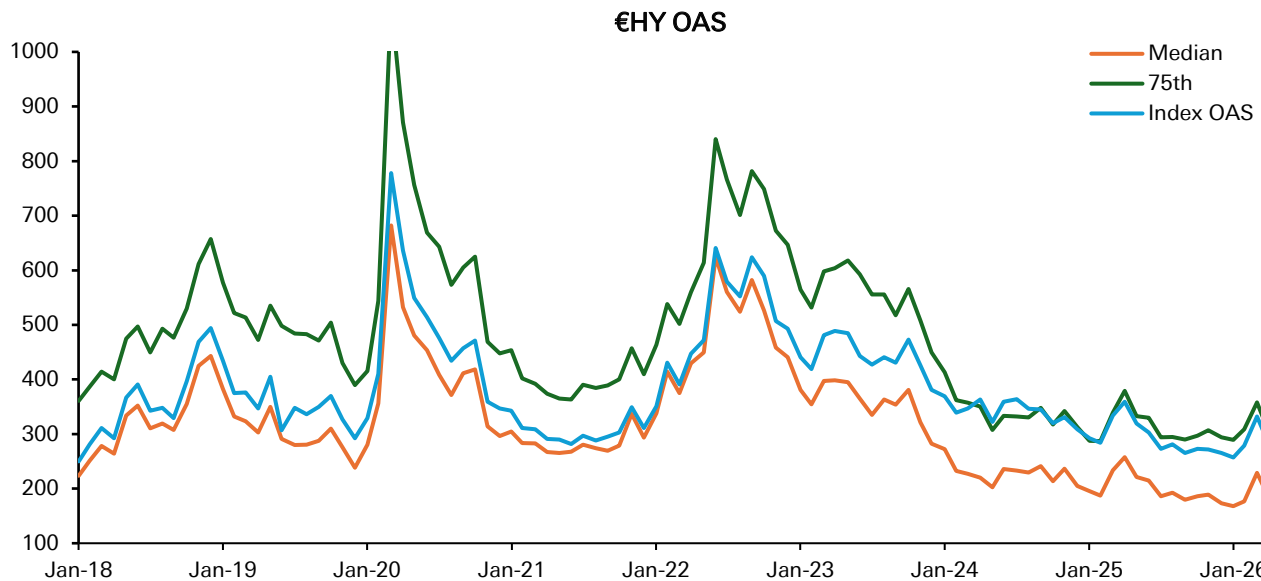
Figure 16: Global HY index spreads are an illusion. More than 75% of \$HY bonds are trading tighter than the stated index spread of 265bps. The median \$HY bond spread is only 149bps, at the tightest since Jan'18.



Source : Deutsche Bank, Bloomberg Finance LP

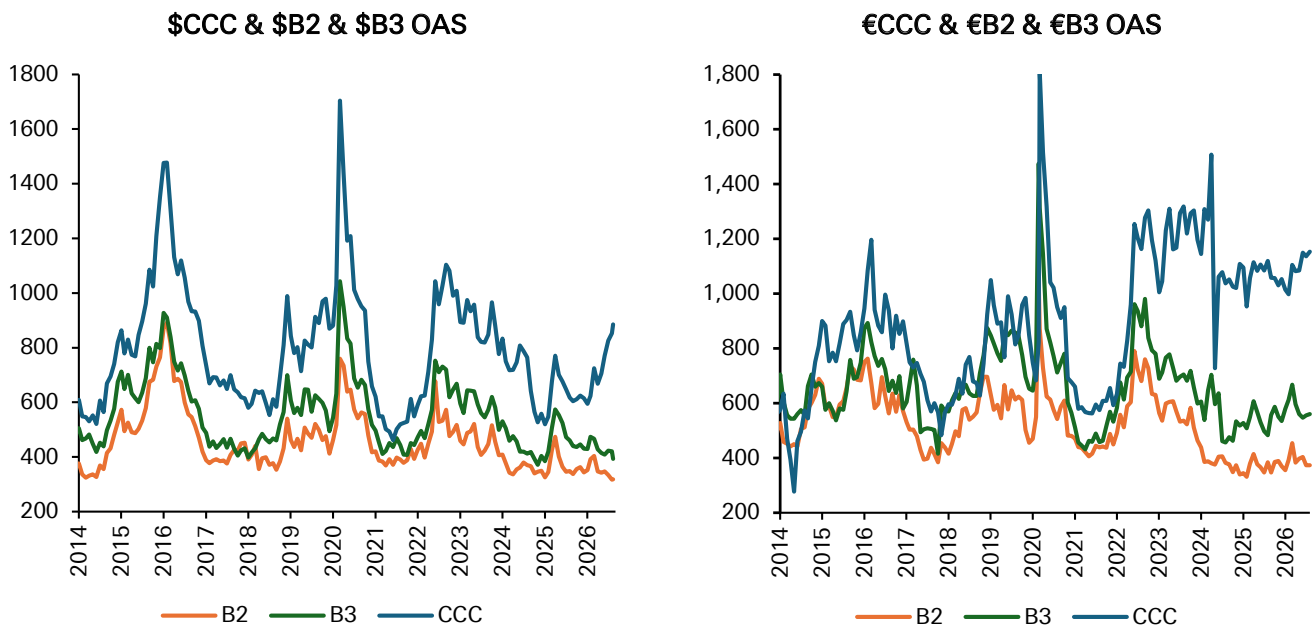


Figure 17: It is a similar story in Europe. Just under 72% of the €HY universe trades with lower spreads than the stated index level of 272bps. The median €HY spread is only 165bps, at the tightest since Jan'18.



Source : Deutsche Bank, Bloomberg Finance LP

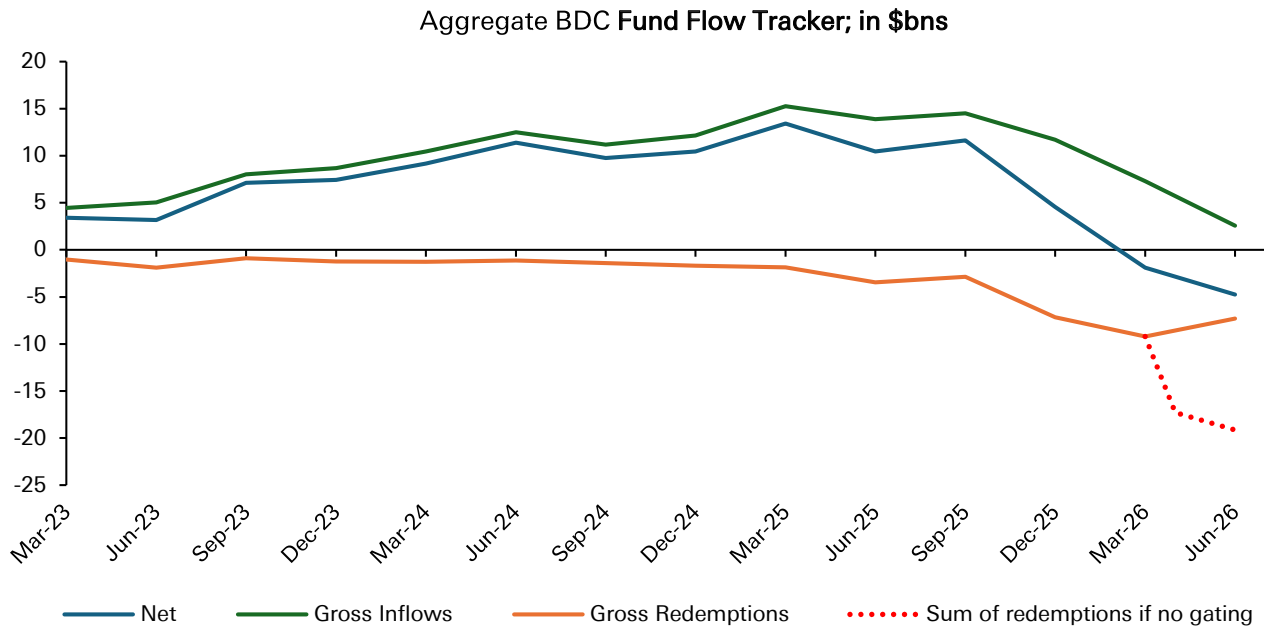
Figure 18: Global CCC spreads have dramatically diverged from the rest of global HY. We would expect to see more contagion to \$B3s if the Fed follows through with 2 rate hikes by year-end. In Europe, some modest disruption to €B3 is already happening. Without a drop in commodity prices that allows the ECB to pivot dovishly, expect more €B spread widening from here.



Source : Deutsche Bank, Bloomberg Finance LP



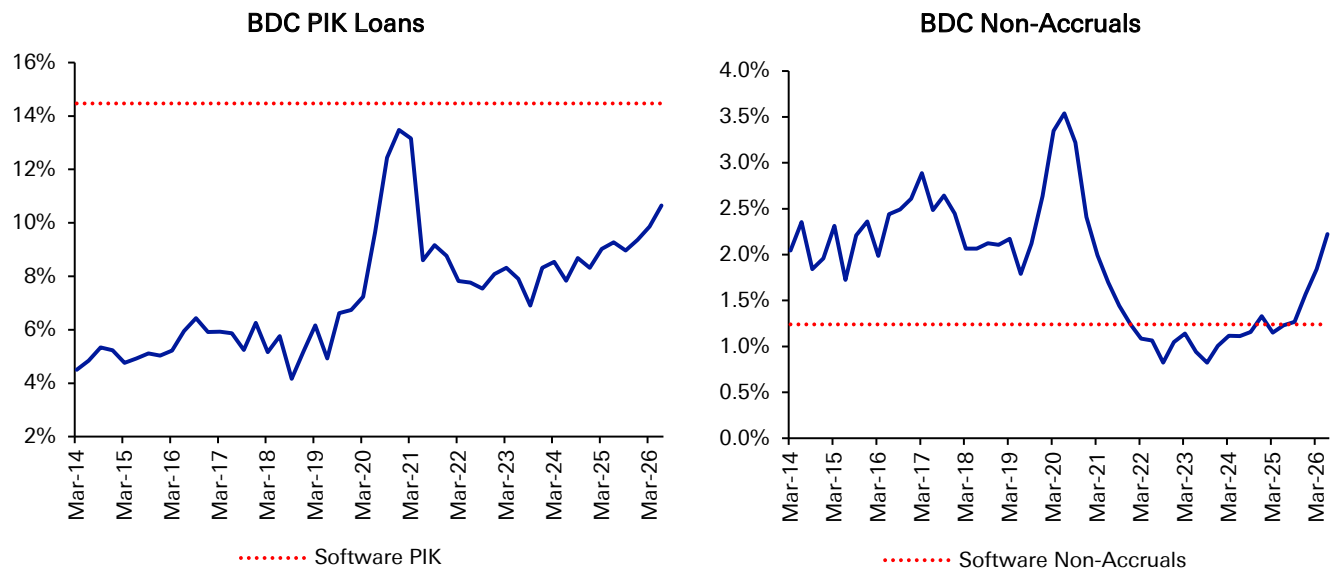
Figure 19: Fed hikes may not break the aggregate US cycle, but they will expose the weak points in the K-shaped economy. BDCs and private credit remain vulnerable, given their large holdings of leveraged floating-rate software loans. And a 65% drop in Q2 new BDC inflows + continued redemption requests is adding to pressure on this space + forcing BDCs to sell B-rated leveraged loans too.



Source : Deutsche Bank, SEC EDGAR

Includes 8 private BDCs and 1 interval fund: Blackstone Private Credit Fund, Blue Owl Credit Income Corp, HPS Corporate Lending Fund, Apollo Debt Solutions, Ares Strategic Income Fund, Goldman Sachs Private Credit Corp, Oaktree Strategic Credit Fund, Cliffwater Corporate Lending Fund, Golub Capital Private Credit Fund. Pulling from 10-Q, 8-K & filings as of Q2 2026, and interval fund N-PORT filings

Figure 20: The share of PIKs within BDC portfolios is now up to 10.6%, well above long-term averages. Future Fed hikes would only accelerate this risk. And BDC non-accrual rates have also climbed to 2.2%, slightly above the long-term averages of 1.9%. For the key software sector, PIK loan usage is very elevated, but non-accruals are still limited.



Source : Deutsche Bank, SEC EDGAR



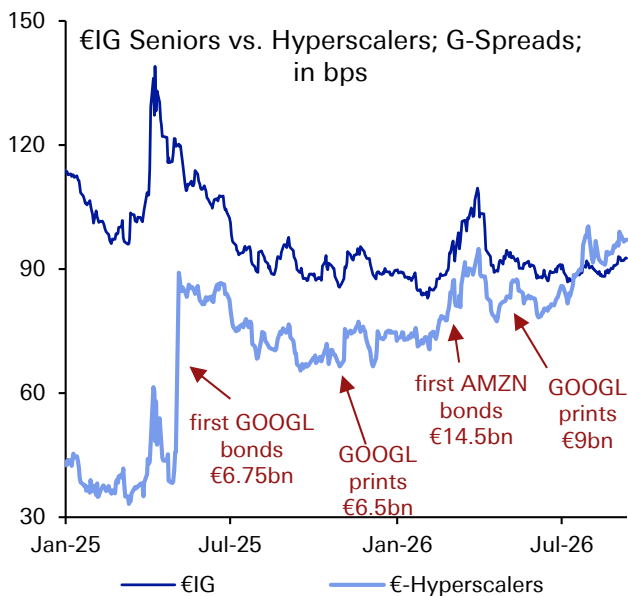
€-Credit: Higher yields - from Friend to Foe?

Tight spreads vs. depressed total returns

With no resolution of the **US/Iran conflict** in sight and higher energy prices and inflation fears feeding concerns about elevated government deficits, risk sentiment has been deteriorating. But despite some widening, €-Credit continues to remain relatively resilient.

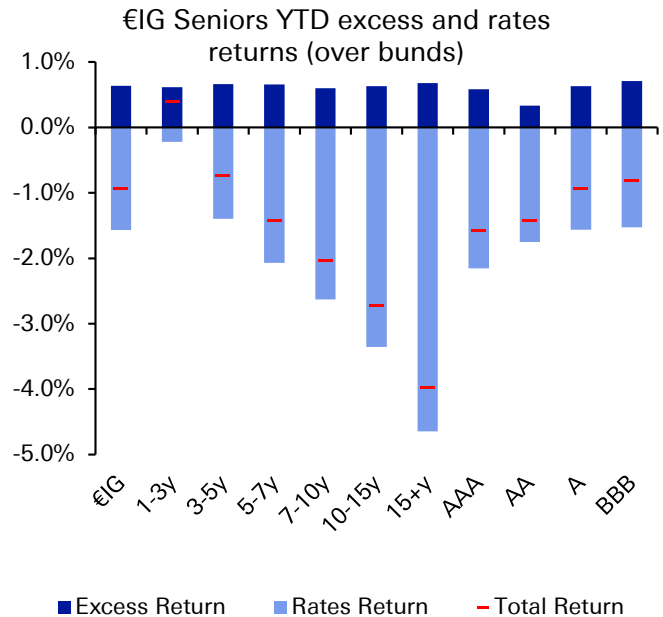
€IG spreads have only broken out of their 6bps range that they had since early summer on Friday. And while US hyperscalers and the AI complex captured all the headlines and were among the major underperformers in €IG, they have not moved the broader €IG universe ([Figure 21](#)) where they continue to account for less than 1.3% of the total market value. That said, €IG investors have hardly remained unscathed with the sell-off in rates leading to the lowest ytd total returns since '22 (also see [Meagre Returns Weigh on Inflows](#)) and only the front-end of the curve escaping negative ytd total returns while 15y+ returns have been a whopping -4%.

Figure 21: Hyperscalers dominated the headlines but had limited broader impact in €IG...



Source : Deutsche Bank, S&P Indices, Bloomberg Finance LP

Figure 22: ...where negative total returns are becoming a major nuisance

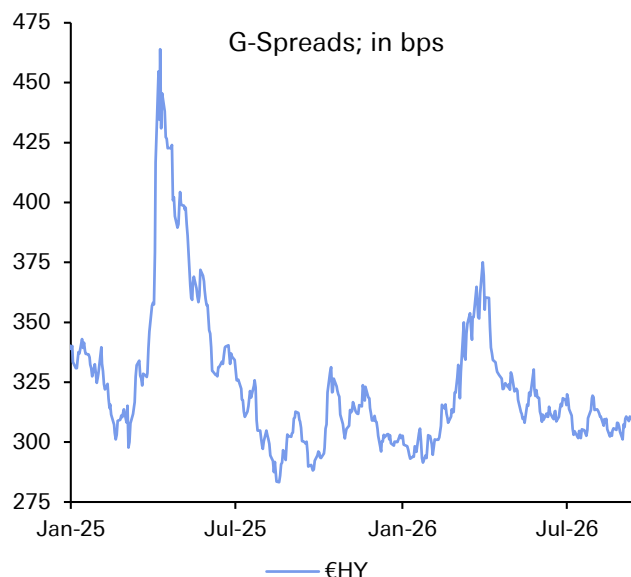


Source : Deutsche Bank, S&P Indices

With **€HY** and other **high beta credit spreads** also remaining resilient so far ([Figure 23](#)), most of them have fared much better in absolute terms thanks to much shorter duration and higher (spread) carry ([Figure 24](#)). But in most segments, returns are also the weakest since '22 barely exceeding returns on cash or remaining below that threshold.

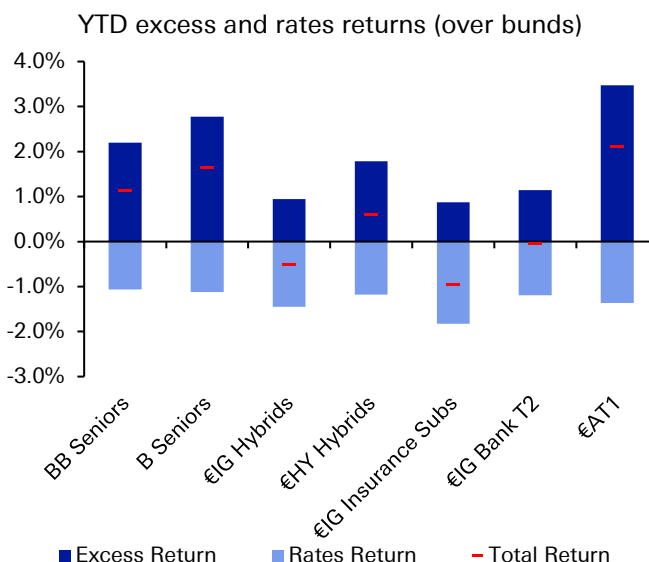


Figure 23: €HY has continued to trade in a narrow range & has been less impacted by rates...



Source : Deutsche Bank, S&P Indices, Bloomberg Finance LP

Figure 24: ...but total returns also remain dampened across most of the high-beta space



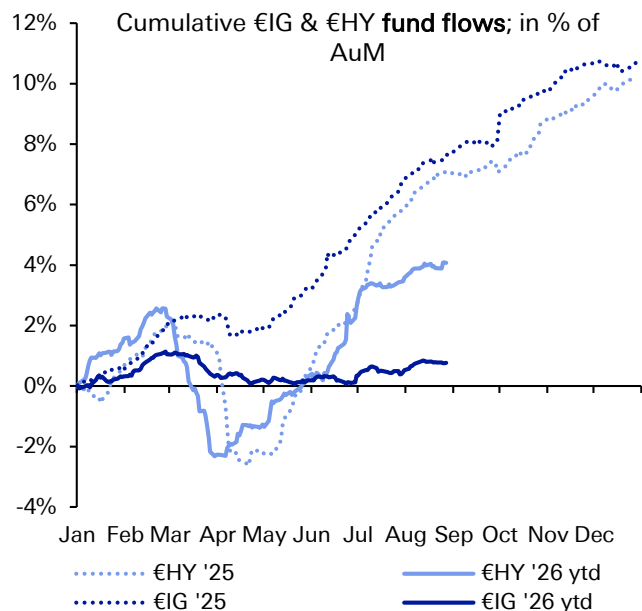
Source : Deutsche Bank, S&P Indices

That poses the question of how long €-Credit can continue in its **goldilocks equilibrium** where it has become the norm that higher yields feed higher demand. And with the rates sell-off turning more violent and the underlying momentum from higher energy prices pointing to a higher floor rather than something to be completely reversed in the near-term, the challenges look relatively persistent. As already flagged in [Meagre Returns Weigh on Inflows](#) this is already weighing on fund flows ([Figure 25](#)) and could get worse. All while the €HY universe is growing at the fastest pace since '21 and amid a continued healthy expansion in the €IG benchmark universe ([Figure 26](#)).

So, the critical question is whether **yield buyers** like insurers and **fixed maturity funds** that are often not captured by fund flow statistics will continue to close the gap. In €IG this hinges on their tolerance for low/negative total returns while in €HY the key question will be how long investors are willing to tolerate a deteriorating (European) growth outlook if we do not see a reversal in energy prices and rates. We do not expect this to be answered in a binary fashion and deem it highly unlikely that the yield buying paradigm will break down. But we consider the developments to be meaningful enough to **dent investor appetite** while supply advances at a healthy pace - particularly in €HY where markets are facing the biggest LBO wave since '21 (see [H2'26 €HY Supply Outlook](#)). We forecast a 13bps widening in €IG until year-end and 73bps €HY equating to significant €HY/€IG decompression ([Figure 1](#)).

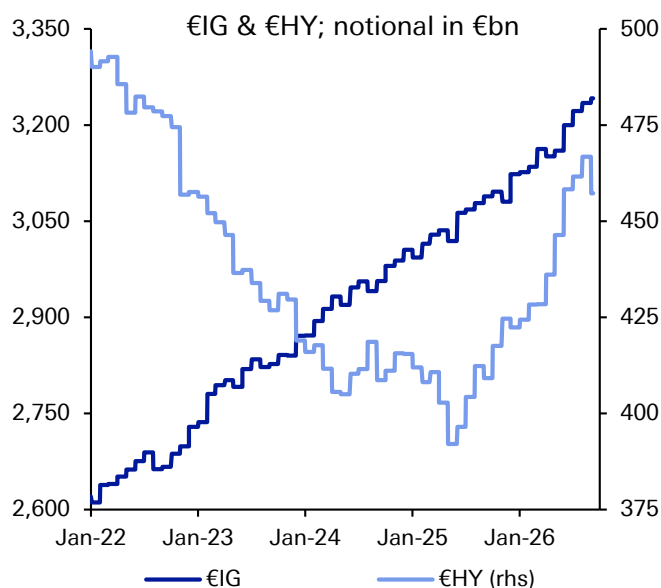


Figure 25: A weakening fund flow backdrop in €-credit...



Source : Deutsche Bank, S&P Indices

Figure 26: ...is meeting a continued expansion of the universe



Source : Deutsche Bank, S&P Indices

€IG: Can the House be kept in order?

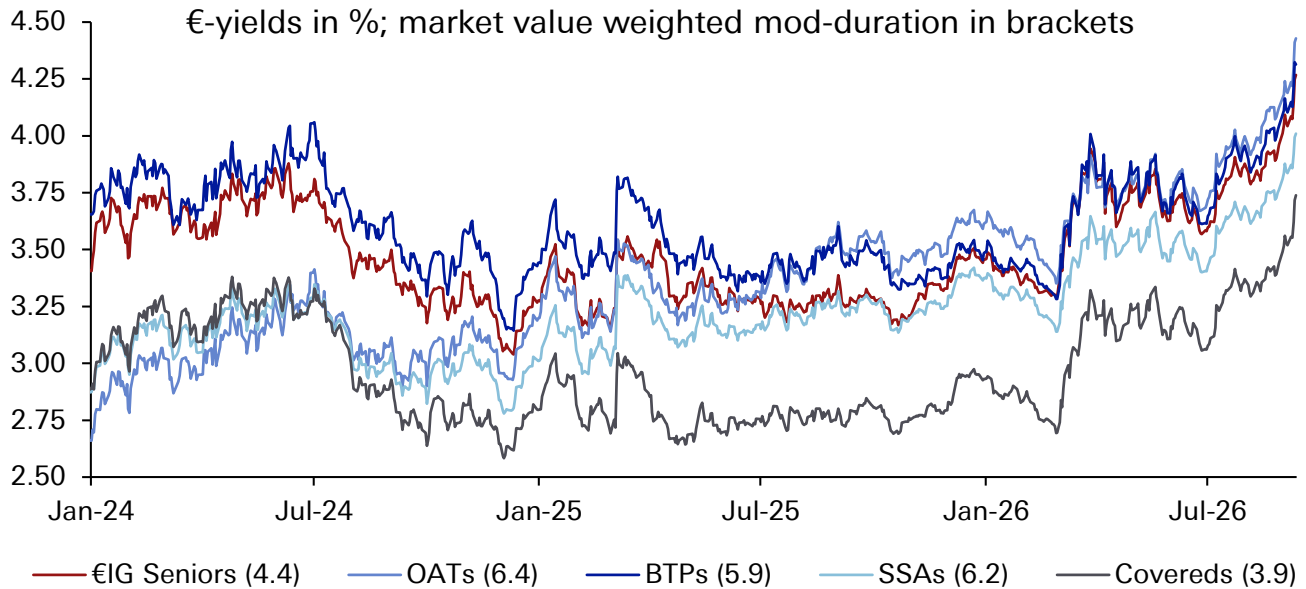
More competition = less yield buying in €IG?

Meagre total returns are already weighing on inflows but with **OAT** and **BTP** yields shooting up at an even faster pace than €IG yields, thanks to concerns about government debt sustainability, discussions about €IG's relative value proposal have resurfaced. Some go as far as speculating about large scale reallocations from credit and into €-fixed income alternatives. We sympathize and have long argued that valuations in other €-fixed income assets have been putting a **soft floor under credit spreads** as multi-asset minded investors find it hard to justify credit exposure at a depressed pick up that often comes with a weaker rating.

Nonetheless, we consider fears of sudden large scale reallocations overblown. **1) Higher or equal yields in OATs and BTPs** still come with significantly higher duration attached ([Figure 27](#)) – a bet many may be unwilling to take in the current market backdrop. And while the spread gap of €IG Seniors to OATs is now at/near the lows in duration adjusted terms, €IG still offers a **positive pick up**. In 2024 for instance €IG Seniors traded tighter to BTPs than they do to OATs and BTPs today ([Figure 28](#)). But rather than re-alloactions to BTPs, we still saw massive inflows into **fixed maturity funds** from the Italian retail base (also see [Fixed Maturity Boost](#)). **2)** We find it hard to believe that **deficit concerns and EGB spread widening** can trade in a bubble much longer. Should things continue to escalate, the negative backdrop should also bleed more into credit. Or simply spoken: a backdrop where EGB spreads sustainably widen should also cause stress in credit and reset the relative value differential before a major redirection of flows even takes place.

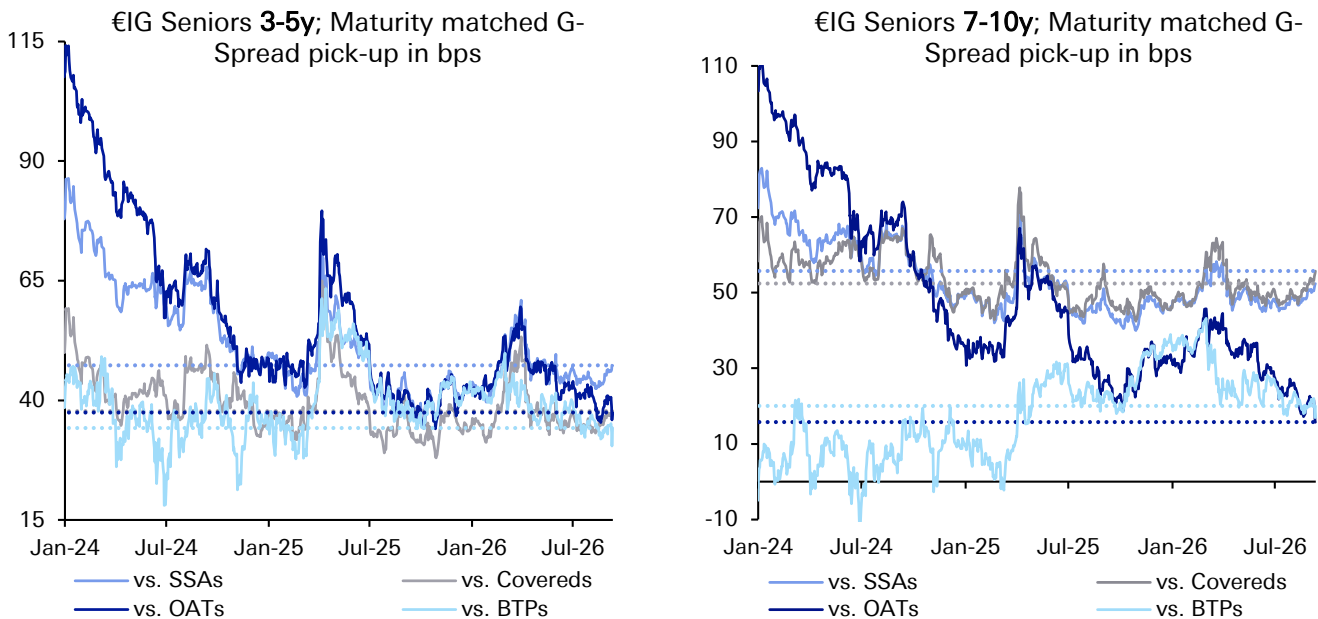


Figure 27: EGB yields have started to outpace €IG again but still come at the cost of significantly higher duration...



Source : Deutsche Bank, S&P Indices

Figure 28: ...and €IG still offers a significant outright pick-up in duration adjusted terms



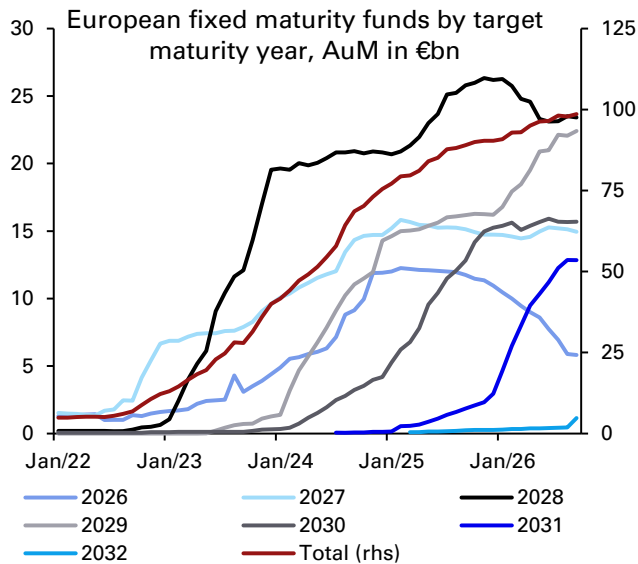
Source : Deutsche Bank, S&P Indices

An exhaustive picture of yield buying flows in credit is challenging to produce given that most of these flows are not reported anywhere. But the data we have on **fixed maturity funds** and **insurers** that is often missed by other **fund flows statistics** continues to point towards support for credit - even though it predates the most recent leg of the sell-off. Fixed maturity flows may have slowed vs. their peak in '23/'24 but particularly in '31 maturities (i.e. +5y tenors) they remain strong ([Figure 29](#)) and support the **belly of the curve**. Meanwhile, where we have data from



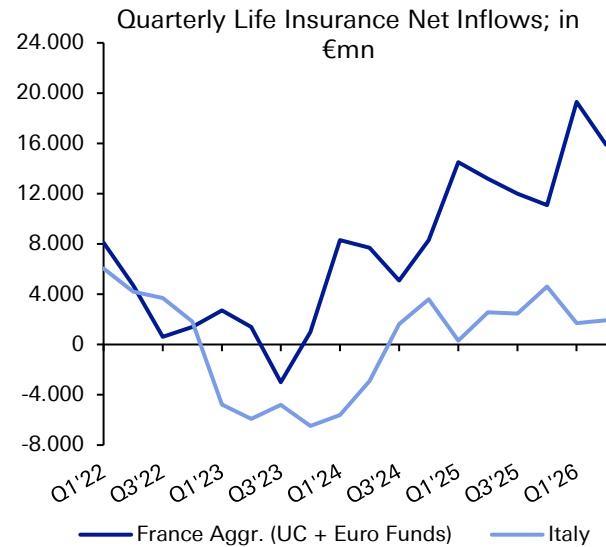
insurance associations, it continues to point towards continued strong inflows into fixed income – particularly in France and in funds that usually create significant credit allocations (Figure 30). So rather than a major breakdown of yield-buying flows, we consider the possibility of **less forceful albeit still significant from buying** from yield driven investors a more realistic scenario.

Figure 29: Fixed maturity (net) inflows are past their peak but continue expanding...



Source : Deutsche Bank, Bloomberg Finance LP

Figure 30: ...and French and Italian insurers have also continued to see inflows

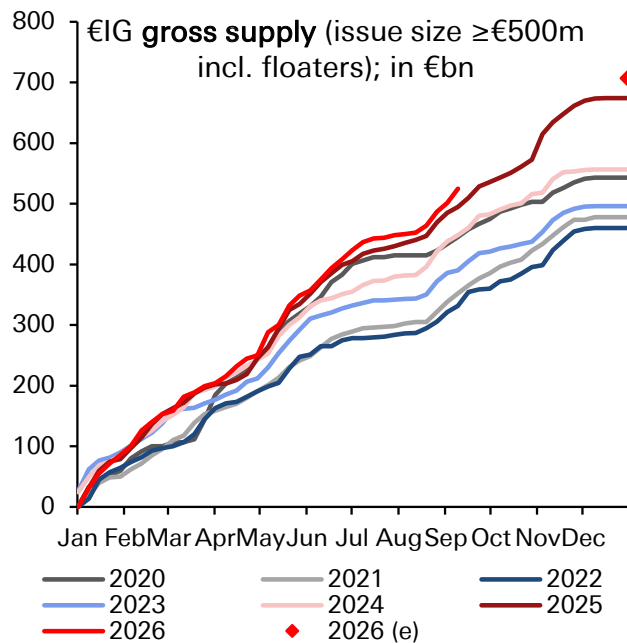


Source : Deutsche Bank, France Assureurs; Ania

So, in combination with already depressed flows into benchmark funds and amid what we still expect to be a busy remainder of the year in primary (Figure 31), also see our [H2'26 €IG Supply Outlook](#) this should see spreads widen moderately until year. We do not expect this to happen in a linear fashion though with macro volatility and the double whammy of **economic fallout** from the Middle East and concerns about **European government deficits** in a higher interest rate environment capable of producing a temporary overshoot. Subsequently higher spreads and yields should still be capable of attracting demand once macro volatility fades, but we doubt that it will be enough to push spreads back to current levels.

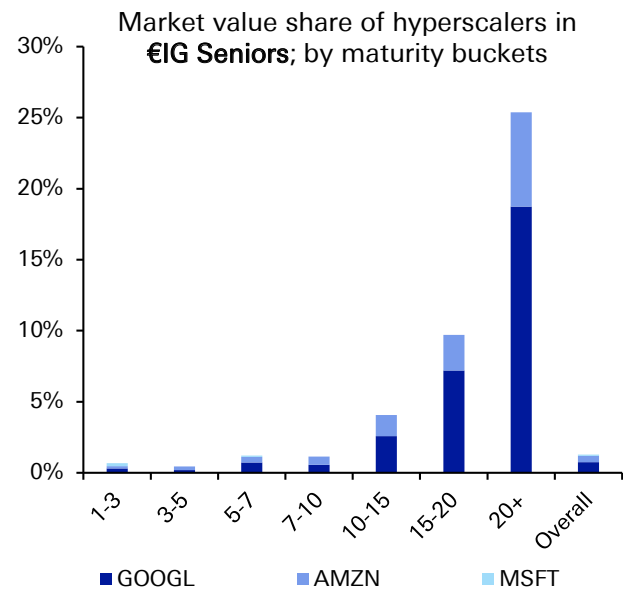


Figure 31: Gross supply extends at a record pace...



Source : Deutsche Bank, Bloomberg Finance LP

Figure 32:...but hyperscalers have so far only made a big splash in the long-end



Source : Deutsche Bank, S&P Indices

Curvy long-end

And with the mix of growth as well as rate headwinds, **positioning choices** have not become any easier over recent weeks. On the curve, the very long-end continues to stick out with concerns on duration risk, the lack of a natural buyer base and the fear of more hyperscaler issuance after GOOGL and AMZN already account for more than 25% of the outstanding **20y+ bond volume** weighing on spreads there ([Figure 32](#)).

Even though we expect more €-supply from US AI/Hyperscalers (see our [Supply Outlook](#)) we also expect them to turn less aggressive on duration. And after having underperformed so strongly, risk/reward looks more two-sided to us than it did a couple of months ago. **10-15y valuations** on the other hand continue to look more stretched after rallying into the summer on the back of strong insurance demand and temporarily collapsing below **7-10y** ([Figure 33](#)), leaving them at risk of a larger correction in absolute spread terms.

But overall and given our expectations of moderately wider spreads, we still recommend a relatively nimble approach to portfolio duration and would not reach beyond **benchmark duration** with the **6-7y** part of the curve that stays ahead of a wall of 5y fixed maturity funds reinvestments still our favorite part (also see [here](#)).



Figure 33: Major spread pick up in 15y+ but 10-15y almost flat vs. 7-10y...

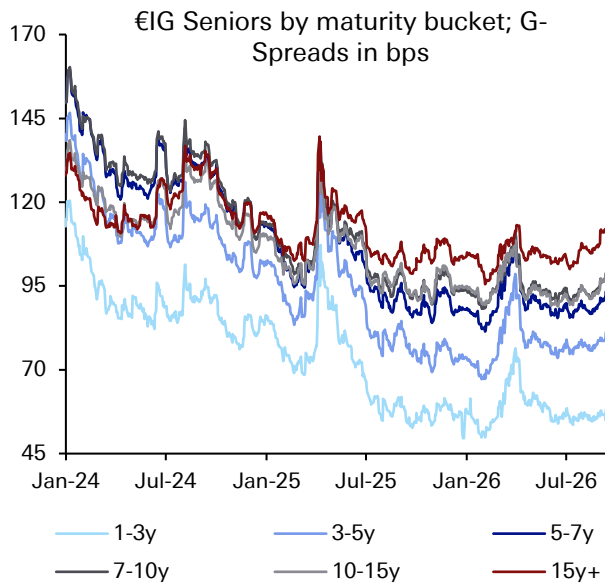
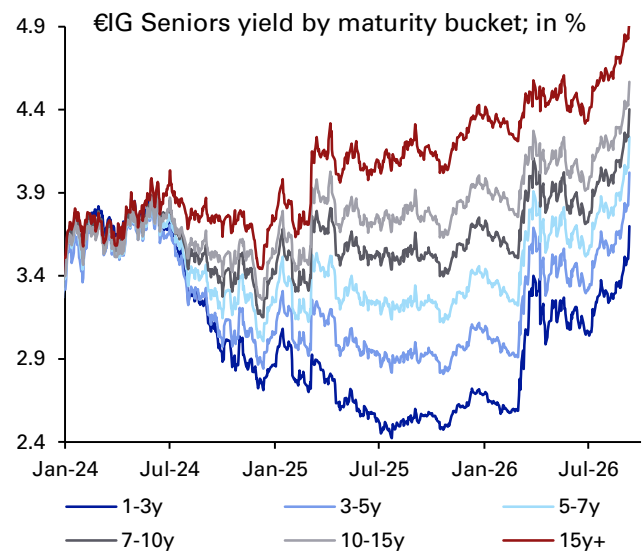


Figure 34:...and rates have helped retain more steepness in the €IG yield curve

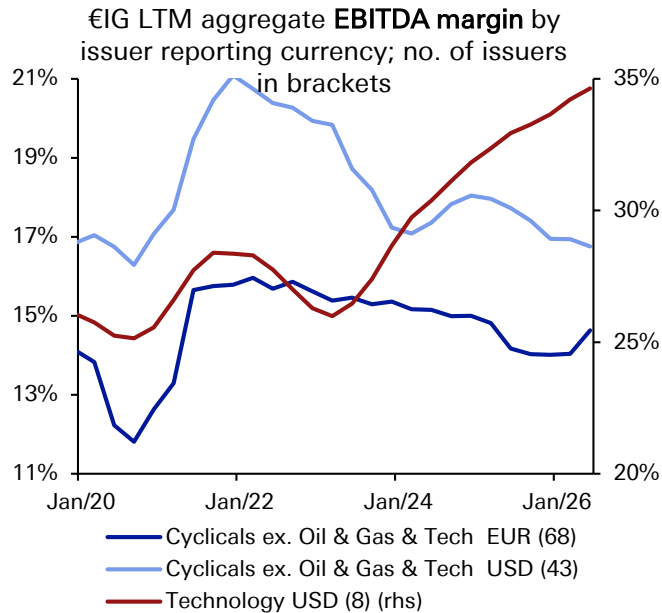


Improving margins, but..

On the surface **Q2 earnings**, **resilient growth** and relatively strong **European PMIs** had taken the edge out of concerns on some European cyclicals before energy prices started surging again. **Autos** and **Chemicals** have indeed led a stabilization in EBITDA margins after a year-long decline ([Figure 35](#)). But as also laid out in [Europe's Margin Rebound Comes with a Caveat](#) that has largely come from cost cutting with revenues still relatively stale ([Figure 36](#)) and accompanied by declining capex volumes - both hardly positive indicators for future earnings growth.

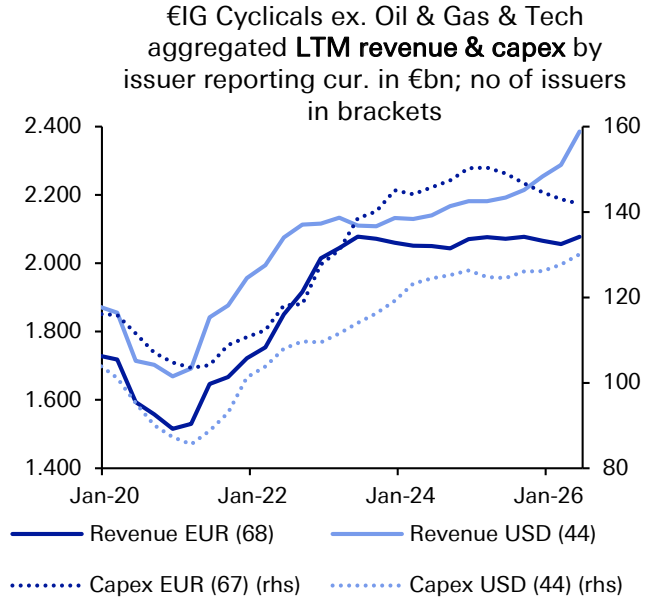


Figure 35: Earnings have finally shown abating margin pressure among European cyclicals...



Source : Deutsche Bank, Cognitive Credit

Figure 36:...but revenues have yet to recover and capex volumes have continued to decline

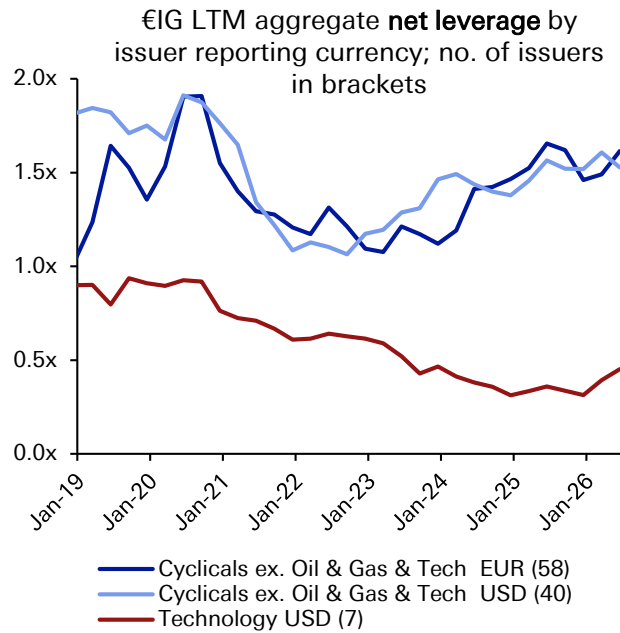


Source : Deutsche Bank, Cognitive Credit

The **fragile nature** of the recovery in the fundamentals of some **European cyclicals** is also underpinned by a slight increase in net leverage after earnings - an area where their US-peers have recently done better despite continued margin pressure ([Figure 37](#)). That said, non-cyclicals have also seen an increase in leverage that has been particularly strong in Europe and been led by Utilities and Telcos ([Figure 38](#)). But with the total increase just around 0.3x and still below pre-pandemic levels, we are still more worried about **European cyclicals** that are facing ever stronger headwinds from higher energy prices and tighter lending conditions that will also impact consumers.

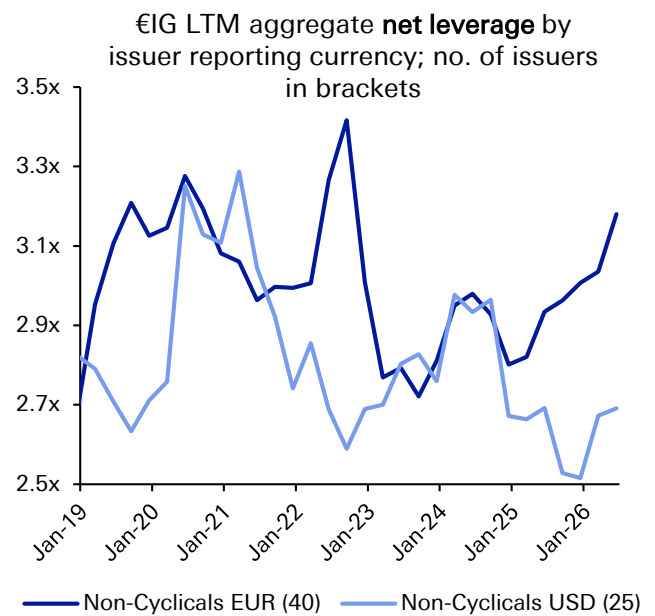


Figure 37: Cyclical's net leverage remains elevated and US leverage is starting to creep up



Source : Deutsche Bank, Cognitive Credit

Figure 38: Telcos and Utilities are the main driver behind an increase in non-cyclicals leverage

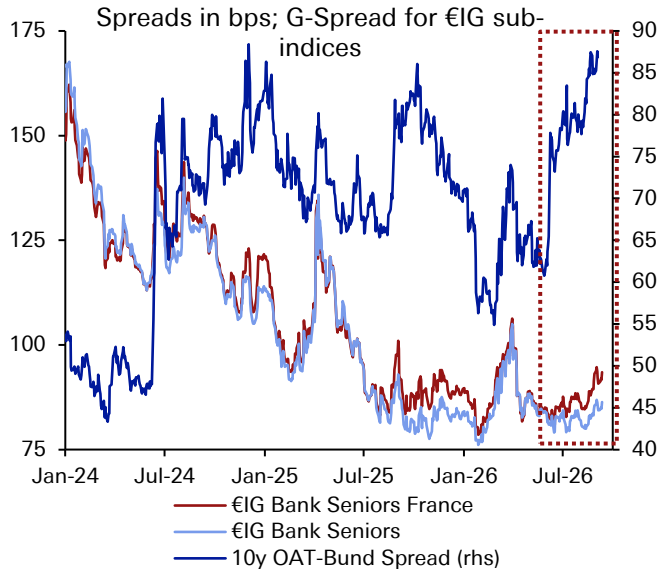


Source : Deutsche Bank, Cognitive Credit

An area where we have grown slightly more optimistic recently has been **French Bank Seniors**. As laid out in [The French Connection](#) credit spreads had finally caught up with OAT/Bund spread widening ([Figure 39](#) and [Figure 40](#)) and we expect risk/reward to be more balanced - at least until we head into a noisy presidential election campaign next year.

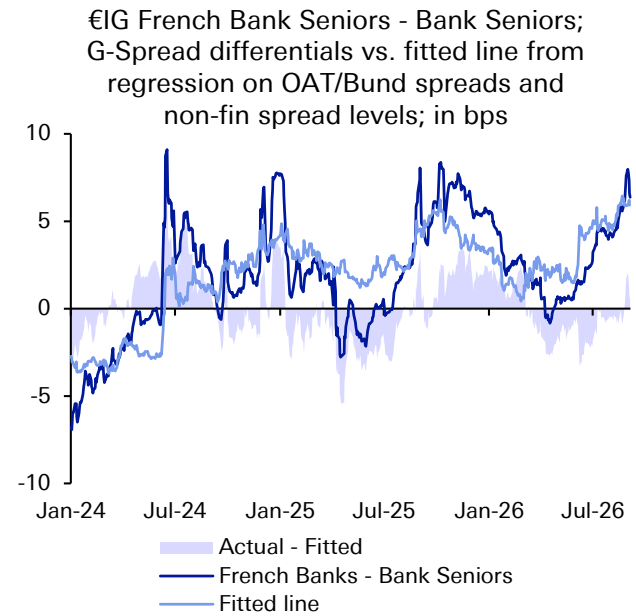


Figure 39: French Banks have underperformed since Spring...



Source : Deutsche Bank, S&P Indices

Figure 40:..but should only continue to do so sustainably if OAT/Bund spreads break out of their range

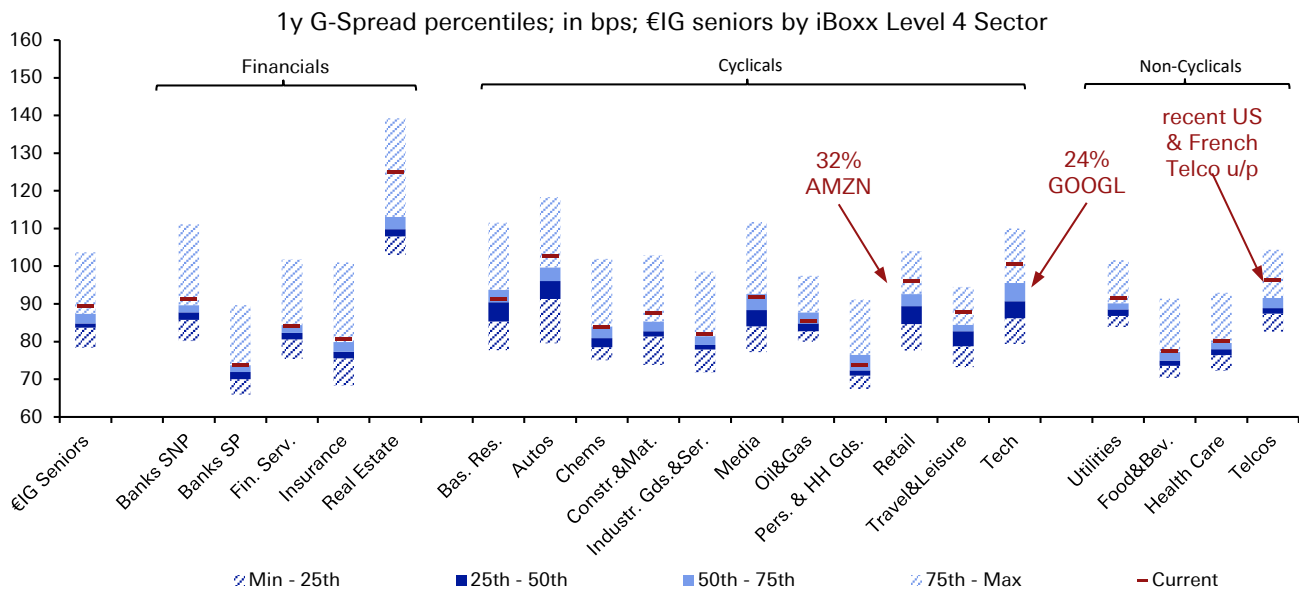


Source : Deutsche Bank, S&P Indices

Otherwise, **sector valuations** have not changed a lot over the recent months. AMZN and GOOGL continue to keep spreads in their respective iBoxx Level 4 sector comparatively wide (**Tech** and **Retail**). **Autos** have again underperformed and remain a relative outlier, as well as **Real Estate**, which has been driven wider by the move in rates even though overall €IG spreads remain very tight. However, with **Telcos**, a sector that had much less focus over recent months has also joined, with **US** and **French** names the major driver of a moderate widening move.



Figure 41: Telcos have joined Autos, Real Estate, Retail and Tech as relative outliers



Source : Deutsche Bank, S&P Indices

Broadly and with concerns about some cyclicals still lingering, the broad theme from our last [sector positioning in July still persists](#). However, we fine-tune our positioning choices.

- 1) We move **Real Estate** from MW to UW. While the sector has already been underperforming in the latest surge in rates, we believe there is more catch-down potential should the recent moves trigger a broader spread widening.
- 2) We take the long-end of the **hyperscaler curves** to OW. As laid out above we do not expect their long-end issuance to overwhelm and would rather look for some pick up there rather than moving down the rating stack too much.
- 3) We upgrade **Healthcare** from MW to OW. The higher rates environment could weigh on the **Pharma M&A** cycle and we no longer consider it a major concern vs. what is going on elsewhere.
- 4) We stick to our OW in **Telcos**. Concerns about increasing competition in the US market have seen local players lead the underperformance also in €IG and French names have joined amid the broader underperformance in French assets. But for the Telcos in €IG, we do not expect either to become a dominant theme for now and would rather take risk here than in cyclically more exposed sectors.



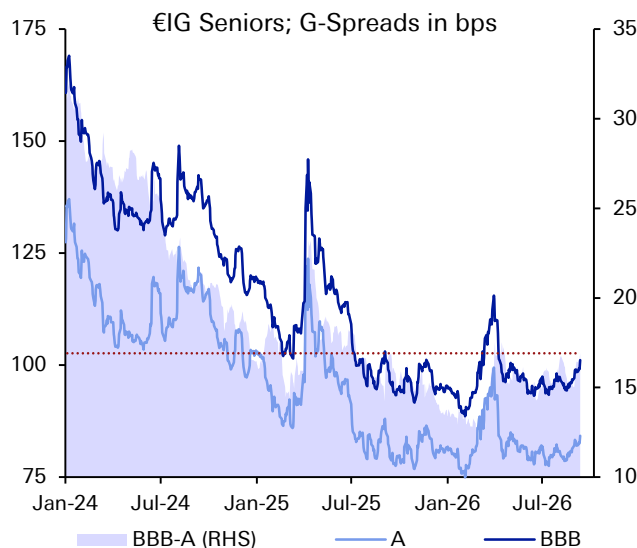
Figure 42: Credit Strategy €IG Sector Positioning

G-Spread Levels by iBoxx Level 4 Sector, Sector segment duration in brackets		Sector Seniors			
		Total	AA	A	BBB
Financials					
Real Estate	Real Estate UW ↓	119 (4.5)		104 (4.9)	125 (4.4)
Bail-In	Senior Non Pref. MW → (UK UW)	90 (3.8)	82 (3.1)	88 (3.9)	96 (3.4)
Preferred	Senior Pref. OW → (UK UW)	72 (3.2)	57 (2.9)	72 (3.4)	91 (2.7)
Financial Services	Financial Services MW → (Priv. Eq. UW)	82 (4.2)	62 (5.6)	88 (3.7)	116 (3.6)
Insurance	Insurance UW → (US UW)	80 (4)	69 (4)	90 (4.1)	88 (3.5)
Cyclicals					
Basic Resources	Basic Resources MW →	90 (4)		82 (4.2)	92 (3.9)
Construction & Materials	Construction & Materials UW →	86 (4)		85 (5.2)	86 (3.8)
Retail	Retail MW →	95 (5.1)	102 (6.8)	84 (5.7)	89 (4.1)
Technology	Technology MW → (Hyperscalers OW 10y+ ↑)	99 (5.2)	103 (7.6)	86 (4.8)	110 (4)
Automobiles & Parts	Automobiles & Parts UW →	101 (3.6)		82 (3.8)	127 (3.3)
Media	Media UW →	90 (4.1)		84 (4.3)	96 (3.9)
Personal & Household Goods	Personal & Household Goods MW → (UW Luxury)	72 (4.3)	52 (4.3)	72 (4.5)	95 (4)
Industrial Goods & Services	Industrial Goods & Services OW → (Airports UW / Electronic & Electric Equip. OW)	81 (4.3)		70 (4.3)	100 (4)
Chemicals	Chemicals UW →	82 (4.7)		73 (5.2)	100 (3.9)
Oil & Gas	Oil & Gas OW →	84 (4.7)	70 (4.6)	83 (5.1)	102 (3.8)
Travel & Leisure	Travel & Leisure MW → (Airlines UW)	86 (5.2)	56 (6.5)	99 (6.2)	96 (3.8)
Non-Cyclicals					
Telecommunications	Telecommunications OW →	94 (5.2)	65 (3.8)	75 (5.3)	98 (5.2)
Utilities	Utilities OW →	90 (5.1)	81 (7)	84 (5.8)	91 (5)
Health Care	Health Care OW ↑	79 (5.4)	60 (5.3)	84 (6.3)	88 (4.2)
Food & Beverage	Food & Beverage UW →	76 (5.2)	50 (5.5)	75 (6)	86 (4.2)

Source : Deutsche Bank, S&P Indices

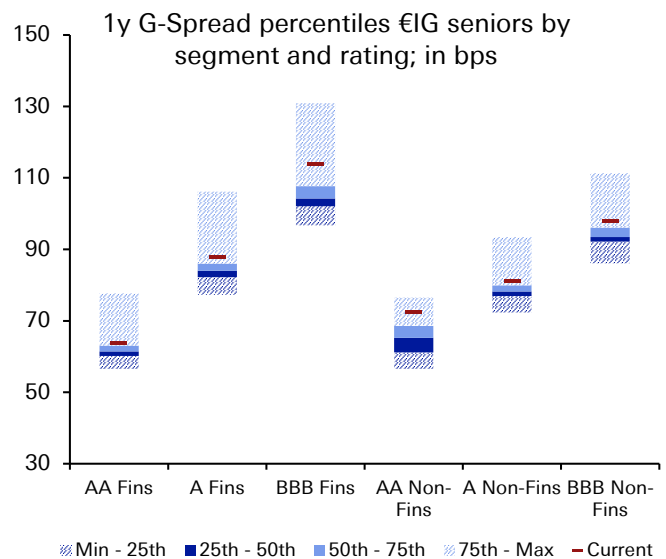
Rating-wise, **AA Non-Fins** remain the major outlier thanks to the hyperscalers (Figure 44). Meanwhile BBB/A compression has returned to being more directional and failed to recover to pre-March levels with the most recent widening episode triggering renewed modest decompression. Granted this is compounded by a largely BBB-rated Real Estate sector but sensitivities have also grown elsewhere and we now recommend to slightly underweight BBBs vs. As in coming months.

Figure 43: Peak BBB-compression appears to have passed...



Source : Deutsche Bank, S&P Indices

Figure 44: ...while hyperscalers have widened out AAs



Source : Deutsche Bank, S&P Indices

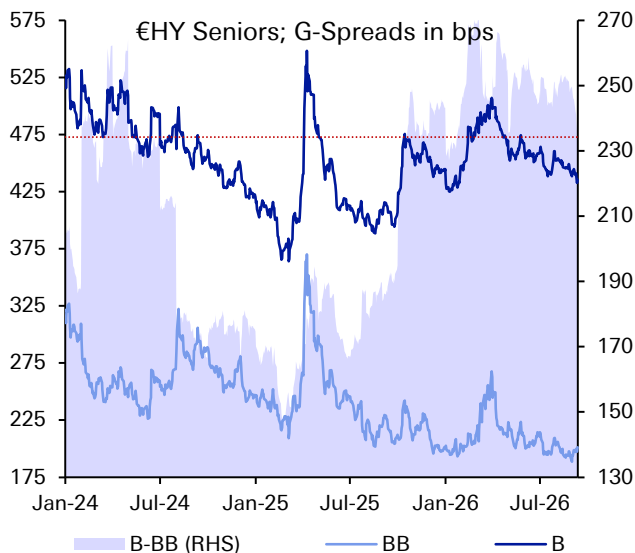


€HY: Peak technicals in the rear view mirror

BBs still tight, dispersion still elevated...

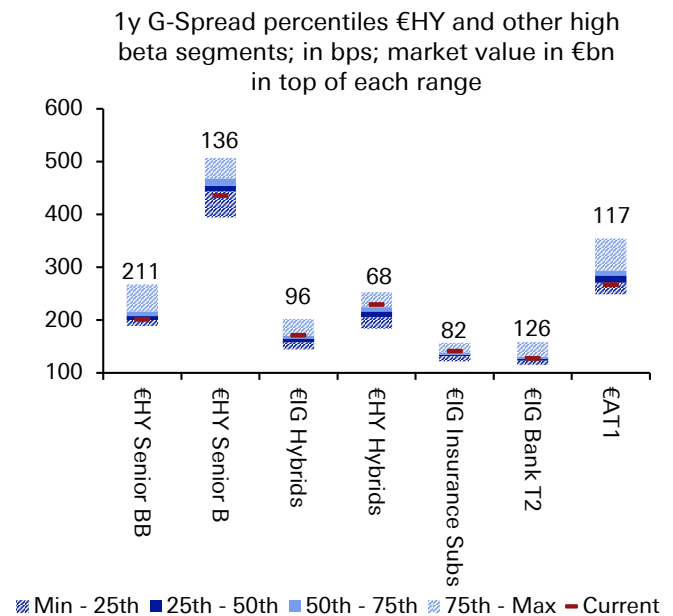
Despite potential **growth headwinds** from higher energy prices and a more challenging **refinancing environment** at higher rates, €HY spreads have barely moved over recent weeks. Index level spreads continue to obscure the enormous dispersion within €HY, with CCCs and some B-rated names trading at distressed levels while BB-spreads are still near the tightest levels they have seen (Figure 45). In fact, **BB-rated Seniors** trade at levels so tight that they also stick out among other high-beta alternatives (Figure 46). Not only are they trading at the bottom quartile of their 1y spread range, they also trade at tighter levels than HY-rated hybrids (Figure 46) and not much higher than IG-rated hybrids (Figure 46) which have lagged a bit over the last few months mainly thanks to a surge in supply (see below)

Figure 45: Bs remain decompressed from BBs but slightly less than they used to ...



Source : Deutsche Bank, S&P Indices

Figure 46: ...otherwise it's mostly hybrids that stick a little out in a very tight high-beta space



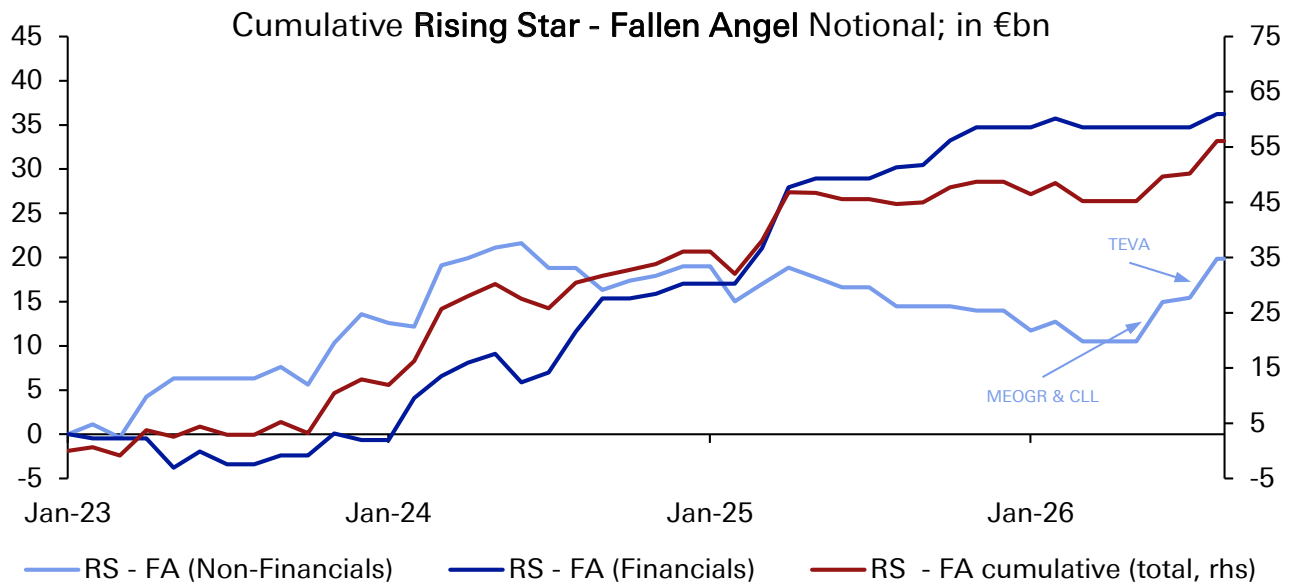
Source : Deutsche Bank, S&P Indices

...and rising stars have provided an unexpected tailwind

A later restart to primary market activity than in the IG-space has arguably helped spreads to keep composure. And a surprisingly large €10bn+ of **rising star wave** that emerged over the summer (Figure 47) has added another technical tailwind. However, unlike the huge bank-driven rising star wave since the beginning of 2024, it was idiosyncratic narratives that drove the upgrades this time – primarily among Non-Financials. Hence, we still consider **fallen angel risks to be higher than** those of more rising stars, particularly if growth headwinds continue to persist.



Figure 47: Another €10bn+ wave of rising stars has cushioned €HY



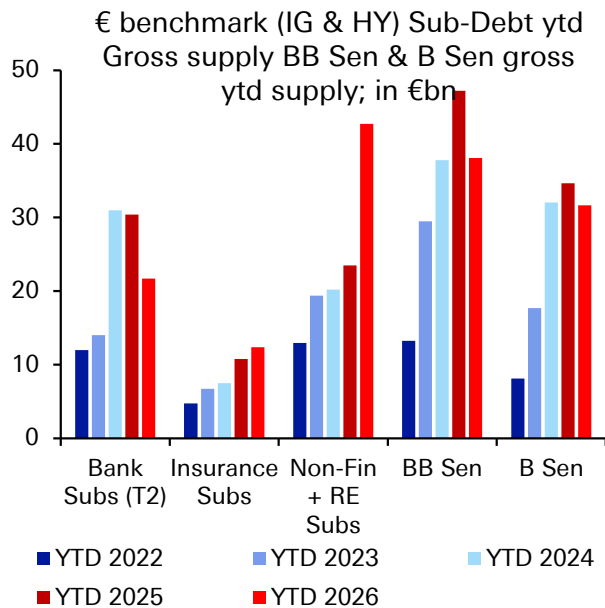
Source : Deutsche Bank, S&P Indices

Primary is set to take over

Meanwhile, and as laid out in [LBO Wave Set to Extend the Net Supply Boost - The H2'26 €HY Supply Outlook](#) **supply headwinds** are picking up. Even though the latest sell-off in rates may have weighed on some issuers' plans, we still expect net supply to pick up in coming months with a high share of mostly B-rated LBO supply. That should also bring more balance to the high-beta-supply relationship ([Figure 48](#)) where a massive wave of hybrid issuance has seen them dominate **net supply** totals ([Figure 49](#)) - the main driver of the relative **underperformance of hybrids** over recent months.

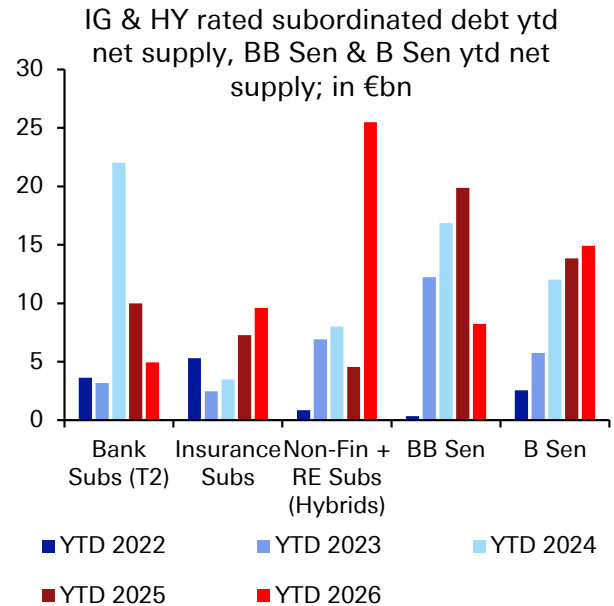


Figure 48: Hybrids dominated high beta supply this year...



Source : Deutsche Bank, Bloomberg Finance LP

Figure 49:...and even more in net terms, also thanks to US issuers

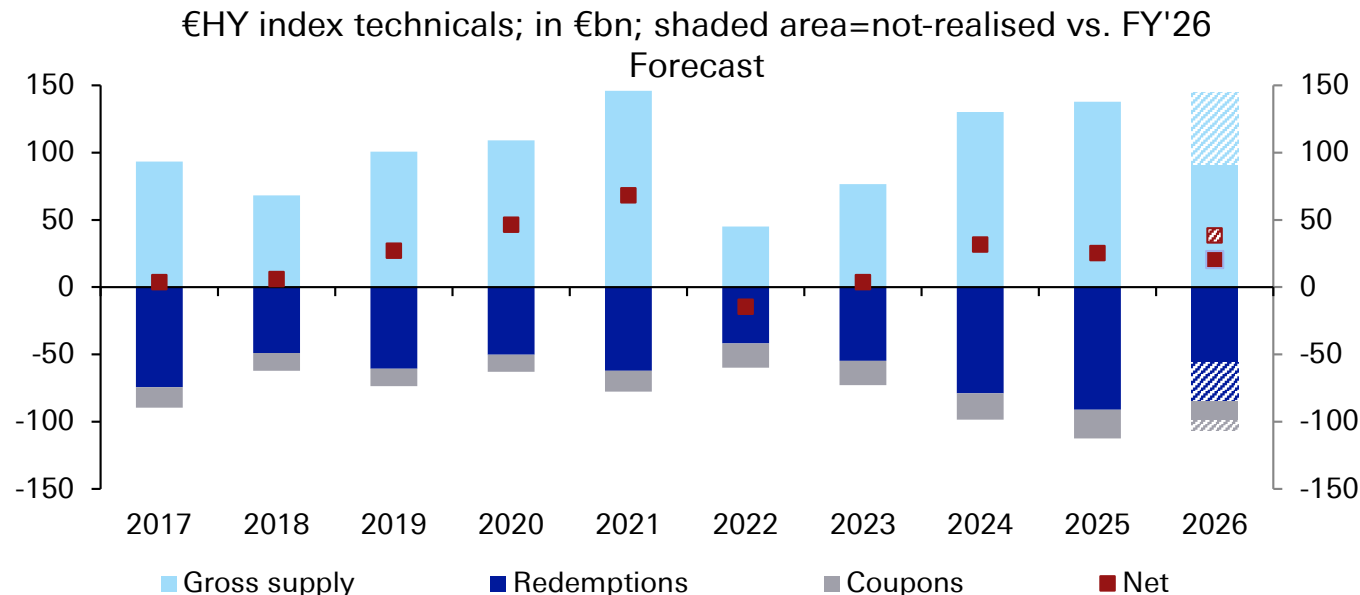


Source : Deutsche Bank, Bloomberg Finance LP

Amid an outlook that looks generally more challenging to genuine HY-issuers thanks to dampened European growth and higher rates, that lets us reiterate our general **preference for hybrids over HY-rated seniors**. And also more broadly, we believe that the most challenging technical backdrop since '21 ([Figure 50](#)) that we forecast by year-end should also facilitate more decompression between the HY and IG space eventually. And even if higher rates stop the LBO wave in its tracks, that backdrop alone could lead to more problems in the HY-space.



Figure 50: Thanks to a nearing LBO wave, we expect the least favorable HY supply technicals since '21



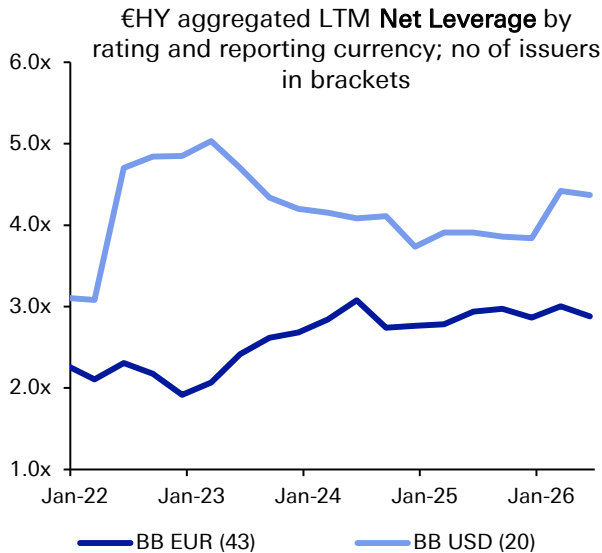
Source : Deutsche Bank, S&P Indices, Bloomberg Finance LP

Fundamentals have stabilized...

While Q2 earnings triggered a sell-off in some €HY-names, this remained idiosyncratic and did not merge into anything broader. In line with that, our aggregate data on fundamentals did not point to very concerning trends. In fact, with the results LTM **net leverage** among BBs as well as Bs stabilized or declined ([Figure 51](#) & [Figure 52](#)). The caveat remains that even among BBs net leverage remains higher than it was in 2022 mostly driven by European names - something still at odds with spreads near or at multi-year tights. Moreover, with rates surging and the energy shock weighing on the European growth outlook - both things to which HY-issuers are particularly susceptible - past performance may be a poor guide for the future.

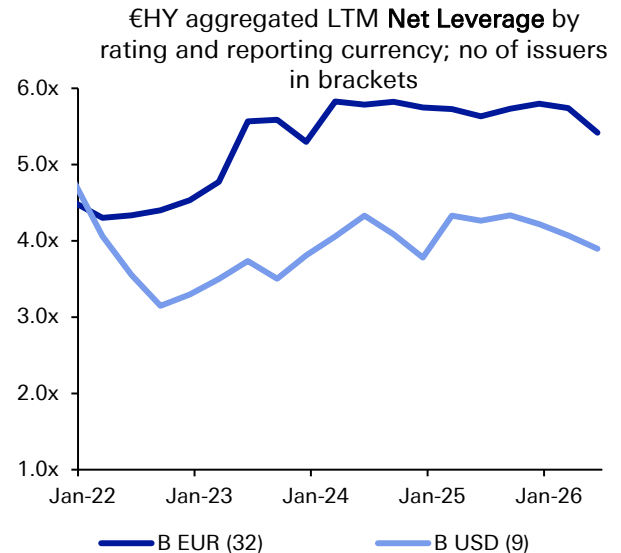


Figure 51: BB net leverage remains elevated but has improved throughout Q2 earnings...



Source : Deutsche Bank, Cognitive Credit

Figure 52:...and aggregated B net leverage has also continued to decline



Source : Deutsche Bank, Cognitive Credit

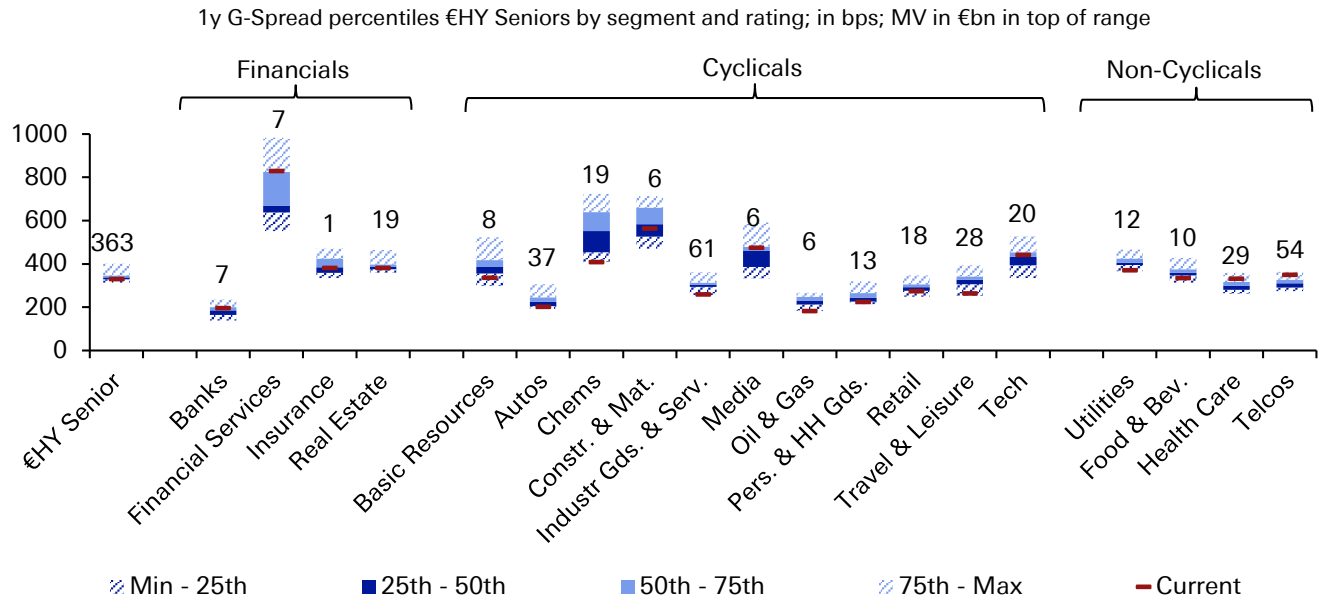
...but do not justify spreads levels

With **Telcos** and **Healthcare** we now finally have some of the largest €HY sectors that no longer trade at the bottom of their 1y spread range. But with spreads still very tight in absolute levels and **Chemicals** moving back to the tight end of their range that has largely been offset in the aggregates. **Media** and **Tech** continue to be the main outlet for **AI-disruption** that is still hanging over the market while some other sectors still trade tight because of a few idiosyncratic narratives.

While it remains challenging to have **high conviction overweights** in the HY-space, we find the very tight spreads in some **cyclicals** particularly unappealing. We continue to believe that the risk/reward remains particularly unfavorable in HY-rated **Autos** and retain our underweight there. Meanwhile, and after being overweight after spreads in **Chemicals** peaked and moving to a marketweight with most of the recovery behind us, we now move to an **underweight** again. The closure of the Strait of Hormuz and the effective suppression of Asian competition may have given the sector some respite, but it also faces headwinds from higher energy prices that will continue to filter through in coming month. And the risk of a peace deal that could see Asian competition return will still hang over the sector in coming months.



Figure 53: Telcos and Healthcare slightly wider, Chemicals much tighter



Source : Deutsche Bank, S&P Indices



\$-Credit: AI-debt binge belies otherwise tight spreads

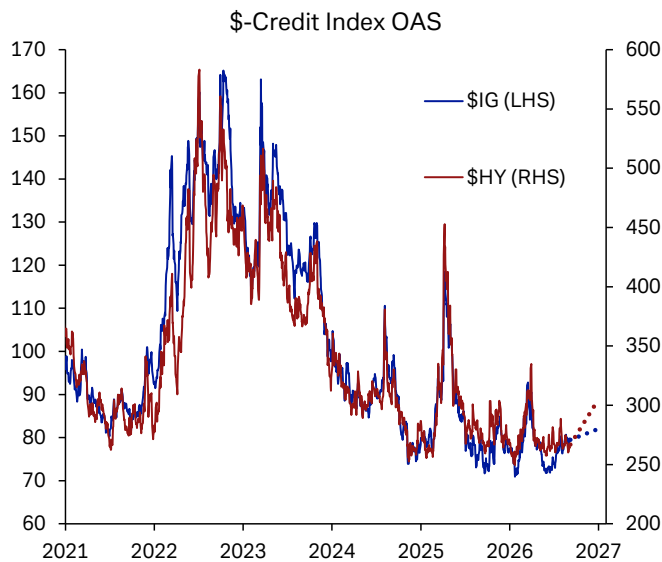
\$-Credit funding costs are rising despite tight spread levels

The summer hopes of a lasting détente in the US-Iran conflict seem to have evaporated as we approach the last quarter of the year. The ongoing conflict has led to higher energy prices and inflation concerns at a time when elevated government deficits were already putting upward pressure on sovereign yields. Credit spreads have widened mildly over the last few weeks, backing off multi-year tightness in both \$IG and \$HY. Solid US growth and a positive technical environment should allow \$-Credit to navigate tighter financial conditions. We are forecasting a mild spread widening through year end with \$HY decompressing further from \$IG.

Nonetheless, **\$IG** spreads are unchanged ytd and 4bps wider since the end of June, while **\$HY** spreads are similarly near unchanged (-1bps) ytd and 4bp tighter this quarter. The marginal spread moves highlight why rates have had a bigger impact on total returns in \$IG, where every rating bucket is negative YTD given the US Treasury selloff. **The growth of hyperscalers and the AI-complex remain a focus of debt markets.** Hyperscalers have grown to 4.5% of the overall \$IG index, while datacenter debt now makes up 3.5% of the \$HY index after both were marginal weights at the start of 2025. However, they have not appeared to drive a massive re-rating of overall spreads, even as the complexes trade wide in their own histories. **\$BBBs have outperformed** higher-rated \$IG bonds due in part to stronger carry as well as lower average duration. Within \$HY, **\$Bs have been the best performer** on both a total and excess return basis with CCCs lagging as spreads widened.

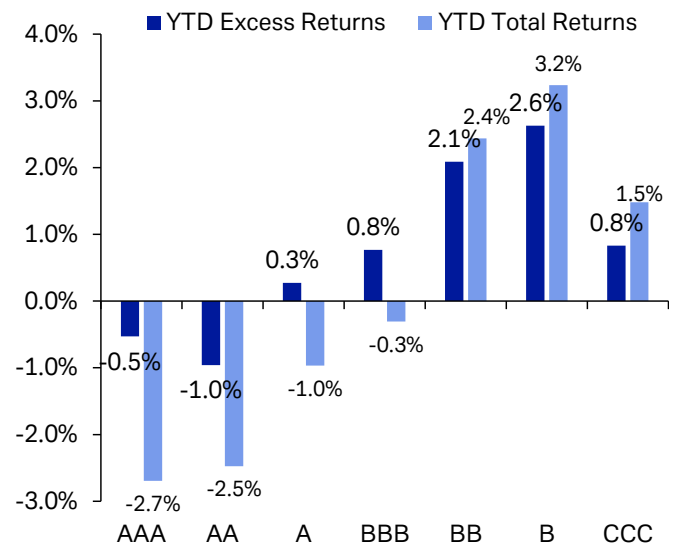


Figure 54: \$IG and \$HY spreads have moved off YTD tightness and are set to drift wider in the coming months



Source : Deutsche Bank, Bloomberg Finance L.P.

Figure 55: The rate move over the last 2 quarters has led longer-duration \$IG debt to underperform



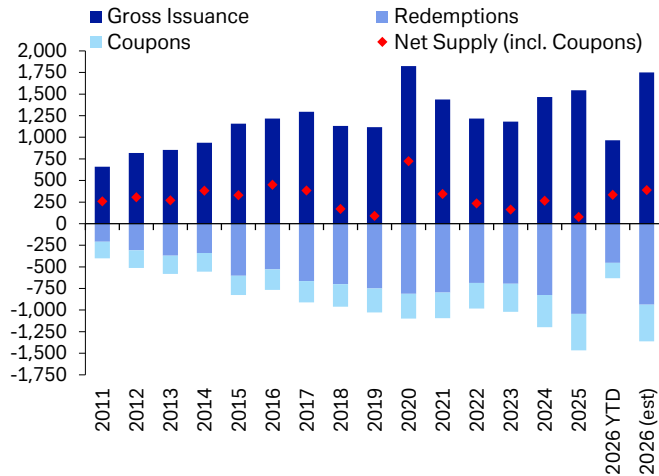
Source : Deutsche Bank, Bloomberg Finance L.P.

Technicals remain solid across \$IG and \$HY for different reasons

In a vacuum, YTD net \$IG supply inclusive of coupons would imply that \$IG should be experiencing its the **weakest technical environment** since 2020. This would be a significant departure from last year, where net supply was historically light. However, \$IG spreads can trade at tight levels even when net supply grows this quickly if **demand for corporate credit is equally robust**. This was the case during the post-Covid supply shock in 2020 and has been the case this year. The strong current demand environment is exemplified by YTD cumulative \$IG fund flows sitting at their strongest levels since 2020. \$IG total inflows are already at the total 2020 yearly inflows with just over a quarter of the year still to go. As noted in the macro section above, yield-buyer activity would have to be impaired or lower-rated \$IG firms would have to significantly re-leverage, which is so far non-existent, in order for the supply-demand technical to weaken.

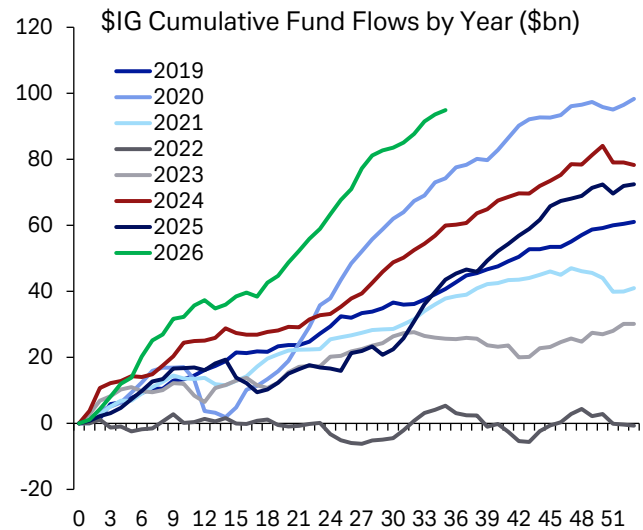


Figure 56: \$IG net supply is the strongest since 2020 and will remain elevated through year-end



Source : Deutsche Bank, Bloomberg Finance L.P.

Figure 57: \$IG fund flows illustrate how strong investor demand can absorb the excess supply

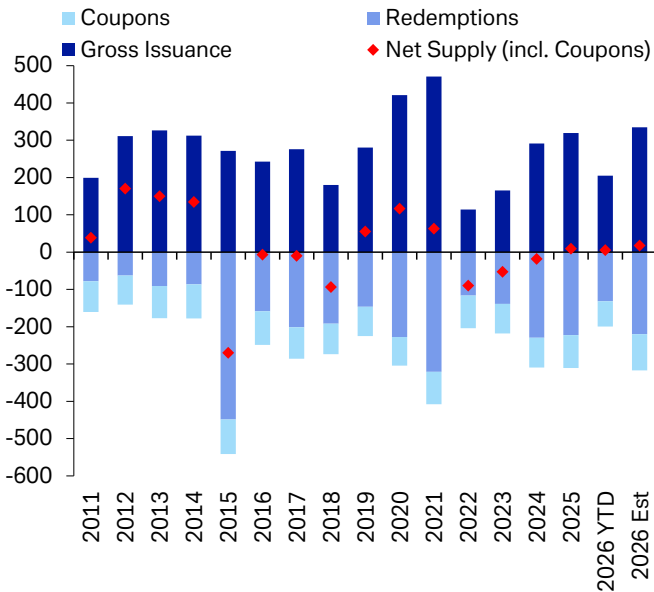


Source : Deutsche Bank, EPFR

The \$HY technical environment is almost the opposite story. Demand is middling compared to recent years, with cumulative funds flows just slightly positive after having seen net outflows in the first half of the year as private credit worries and fears about a growth shock from the Middle East conflict weighed on investors. While sentiment improved over the summer inflows are still well below the run rates we saw in the last few years. However, **net \$HY supply when including coupon payments is marginally expansive** and is not expected to grow significantly by year-end. This is similar to last year, but the weaker fund flow picture points to a slightly **less accommodative** spread environment than 2025.

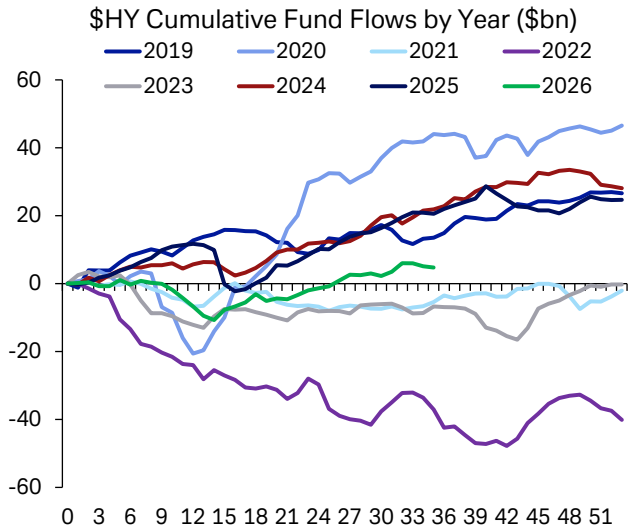


Figure 58: \$HY net supply (incl. coupons) has been positive for spreads, in-line with last year



Source : Deutsche Bank, Bloomberg Finance L.P.

Figure 59: \$HY fund flows have been more volatile with cumulative flows well behind the run rate from the past few years



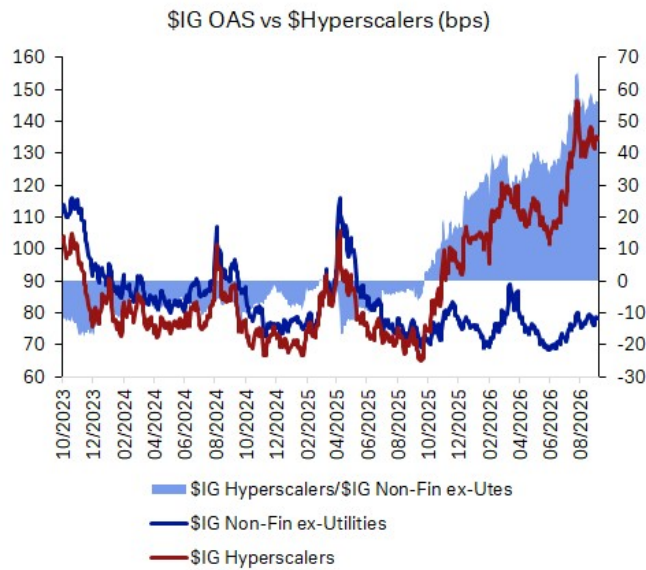
Source : Deutsche Bank, EPFR

\$IG: Hyper-focused on hyperscalers

The AI-hyperscalers have been the focal point of \$IG markets for nearly a year now. The jumbo deals in September and October of last year started started **the complex underperforming \$IG** at large (Figure 60). To put the YTD underperformance in perspective, \$IG hyperscalers, including SPCX and NVDA, have widened +32bps this year, compared to \$IG Non-Fin ex-hyperscaler spreads which are +1bp wider YTD. Non-Fin \$IG issuers have outperformed hyperscalers every quarter this year, and in particular over the last 5 months (Figure 61).

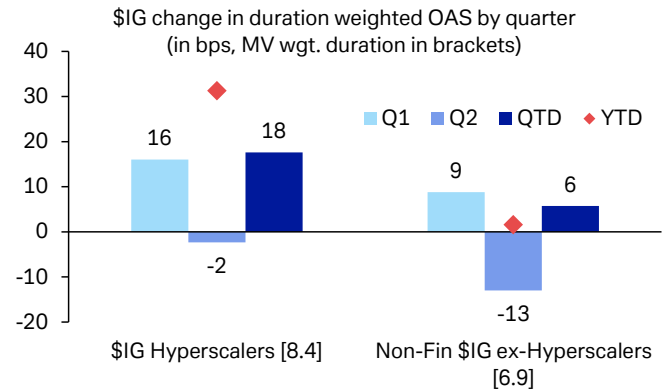


Figure 60: Hyperscaler debt is trading over 55bps wider than the overall index, having stabilized since July



Source : Deutsche Bank, Bloomberg Finance L.P.
Hyperscalers include AMZN, GOOGL, NVDA, MSFT, SPCX, META, ORCL

Figure 61: Overall \$IG non-fin spreads are nearly unchanged this year, while hyperscalers are 31bps wider ytd

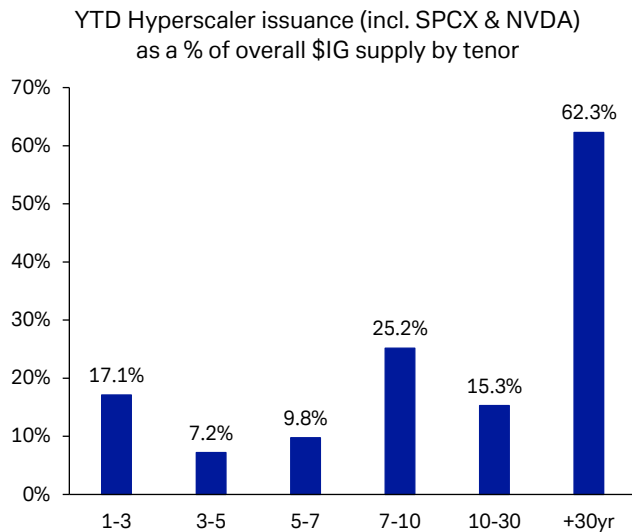


Source : Deutsche Bank, Bloomberg Finance L.P., ICE indices
Hyperscalers include AMZN, GOOGL, NVDA, MSFT, SPCX, META, ORCL

As we have [noted in recent weeks](#), the **hyperscaler underperformance has been more severe further out the curve**, which has caused index level \$IG spread curves to appear substantially steeper across the board. However, **long-end \$IG spread curve steepening is less pronounced** when looking at ex-hyperscaler bonds. This can be seen within \$A spread curves (figure 68), which do not capture the AA or BBB hyperscaler issuers or by looking at the ex-hyperscaler performance in Figure 63. This hyperscaler underperformance out the curve has been due in large part to **outsized supply** relative to the rest of the \$IG market (Figure 62).

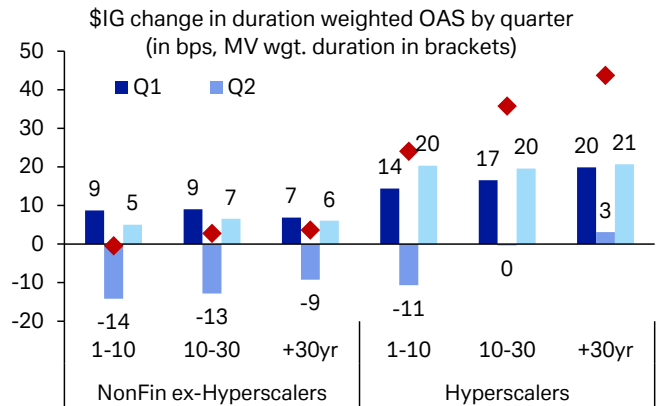


Figure 62: Hyperscalers comprise an outsized share of long-end supply, but their impact on the front-end is far less material



Source : Deutsche Bank, Pitchbook

Figure 63: Hyperscaler underperformance is most acute out the curve, while Non-Fin ex-Hyperscaler spread curves have steepened far less this year

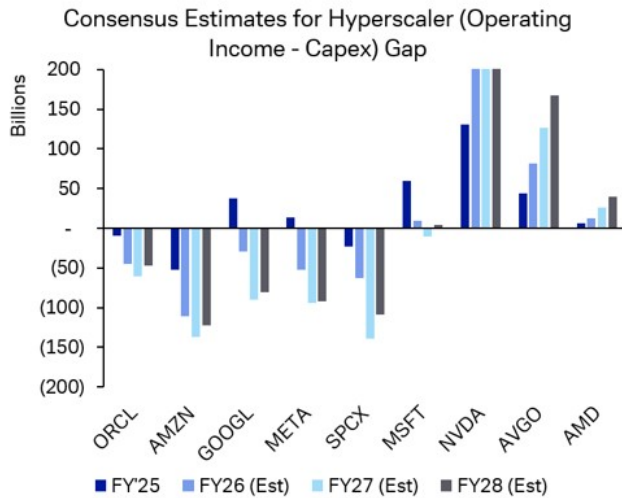


Source : Deutsche Bank, Bloomberg Finance L.P., ICE indices

These firms are fueling the AI-capex boom that has been driving the US economy over the last year. As we recently laid out ([Hyperscalers Continue to Power \\$IG Supply to Record Highs](#)) the gap between consensus operating income and consensus capex for FY'26 for every major hyperscaler increased substantially since the start of the year. Looking ahead to the next two years, **issuance from the hyperscalers should remain at least at the current 12M pace** as the projected funding needs are not slowing. We expect a **moderate level of deal flow through year-end**, with \$60bn hyperscaler debt coming to market. The duration mix of upcoming deals could be more **tilted toward the belly** of the curve and there could be a bigger focus on EUR deals given more attractive funding costs. We have seen this with Amazon just last week, where the GBP deal came in with more weight in the belly of the curve than initially indicated. There is **some upside risk** to our issuance forecast if issuers pull forward planned '27 deals due to rising input costs and scarcity of resources. Given the cheaper valuation, strong rating quality, and expectation that supply maintains a moderate pace we move **Hyperscalers** back to an overweight. We particularly like the long-end, as the issuers could be set to tilt issuance back more to the belly of the curve.

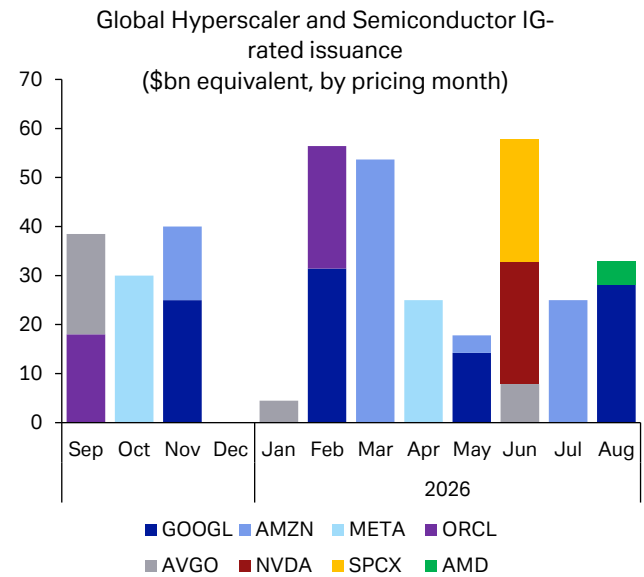


Figure 64: AI-hyperscalers are expected to see larger funding needs over the next two years while chipmakers are expecting strong profits



Source : Deutsche Bank, Bloomberg Finance L.P.

Figure 65: Large \$IG AI-Capex linked deals have been steady for much of the last calendar year



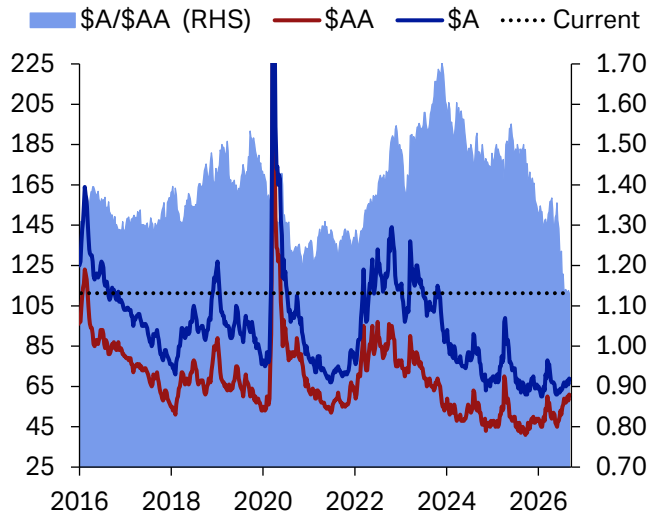
Source : Deutsche Bank, Bloomberg Finance L.P.

Remain neutral BBBs vs As to maintain carry

\$BBB and \$A spreads have compressed further over the last quarter, with spread ratios in both rating pairs the tightest observed in the last 10 years. Given we only project a mild widening in \$IG spreads through year-end, there is not likely to be enough decompression to overcome the higher carry from BBBs. Therefore **we are not projecting significant divergence between \$BBB and \$A returns through year-end**. With long-end yields rising, the extra duration of As offsets the lower spread beta compared to BBBs, while the higher BBB carry can compensate investors during the mild widening.

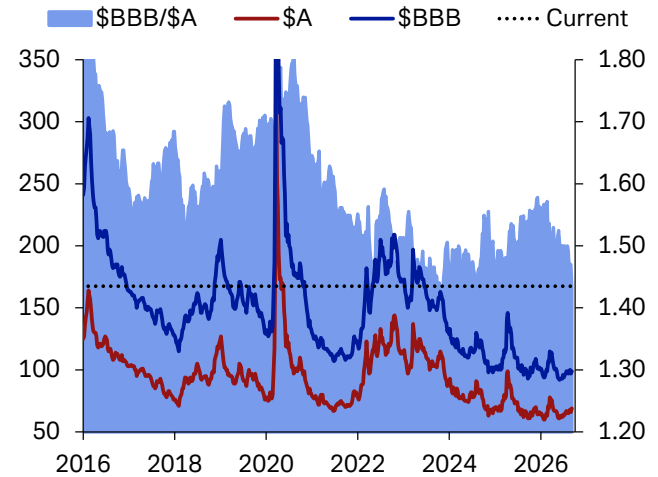


Figure 66: A/AA compression is the tightest in over a decade, driven in large part by the hyperscalers driving AA spreads wider



Source : Deutsche Bank, Bloomberg Finance L.P.

Figure 67: BBB/A spread compression is similarly at post-Covid tights

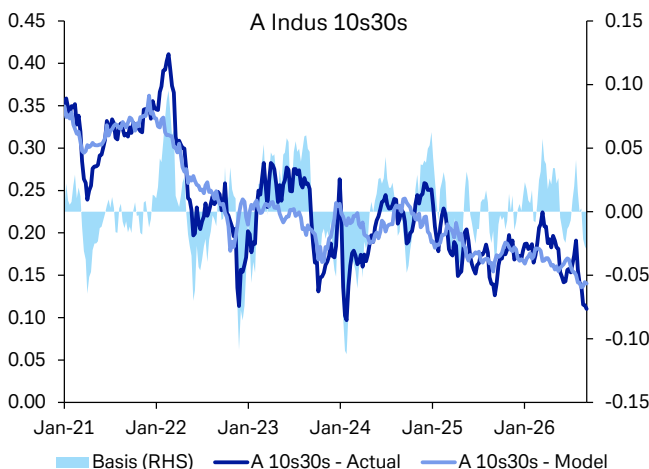


Source : Deutsche Bank, Bloomberg Finance L.P.

The front-end is less exposed, remain underweight the long-end

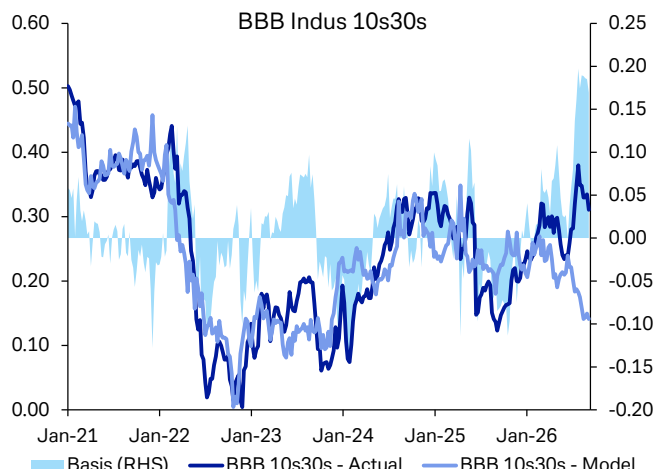
Although elevated treasury yields have made the all-in yield of long-end credit curves attractive, buying duration at these valuation levels is **not prudent risk-reward**. When looking at the long-end specifically, a spread model for 10s30s curves using IG OAS, 10s30s UST curves, 30y UST yield, VIX and change in Fed Funds rate expectations, \$A-rated curves look too flat (figure 68). BBB curves appear very steep to the model but this is driven in large part due to the SPCX and ORCL bonds (figure 69).

Figure 68: \$A 10s30s curve appear slightly too flat..



Source : Deutsche Bank, Bloomberg Finance L.P.

Figure 69: ...while BBB 10s30s are too steep



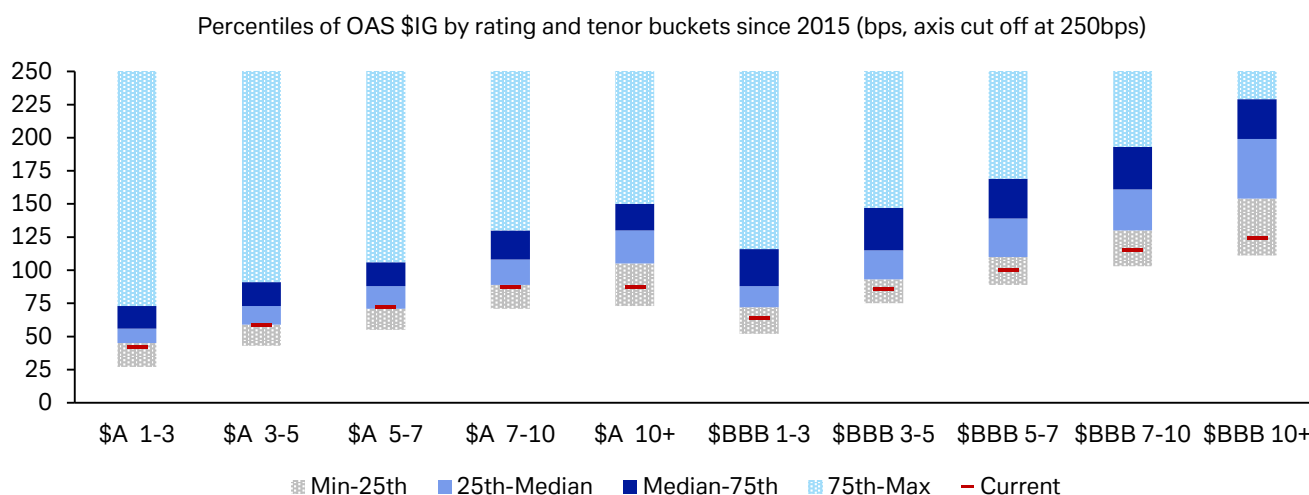
Source : Deutsche Bank, Bloomberg Finance L.P.

We remain **overweight 1-7yr bonds**, while staying **underweight +7yr bonds** ex-



hyperscalers. Valuations are more attractive in the belly of the curve, particularly for \$As. As we discussed above, US growth remains on solid footing, which has eliminated the potential for rate cuts. Expectations for Fed easing, once a dominant first-quarter narrative, have reversed as the US-Iran war and the AI-buildout itself has reignited inflation concerns. At current levels, one to two rate hikes in the next quarter or so should not overly impact the front-end and are largely already priced in.

Figure 70: +10yr As are currently trading flat to 7-10yr bonds, while BBB bonds have moved off their tights in the last quarter



Source : Deutsche Bank, Bloomberg Finance L.P., ICE Indices

\$IG Sectors: Lean into AI-Capex, while Consumer risks persist

Within \$IG, [we largely maintain our Mid-July update](#) reflecting a **relatively defensive stance** with spreads sitting just 7bps away from our YE'26 target.

The **AI and data center buildout** is likely to be a more significant driver of credit strength than the increasingly bifurcated US consumer, many of whom remain under considerable pressure from higher energy costs and rising interest rates. We continue to **avoid consumer-oriented sectors** with thin margins and mounting cost pressures, as well as highly leveraged issuers that are particularly **vulnerable** to higher borrowing costs. While \$IG is no longer trading near multi-decade tights, valuations remain **rich** across the majority of sectors.

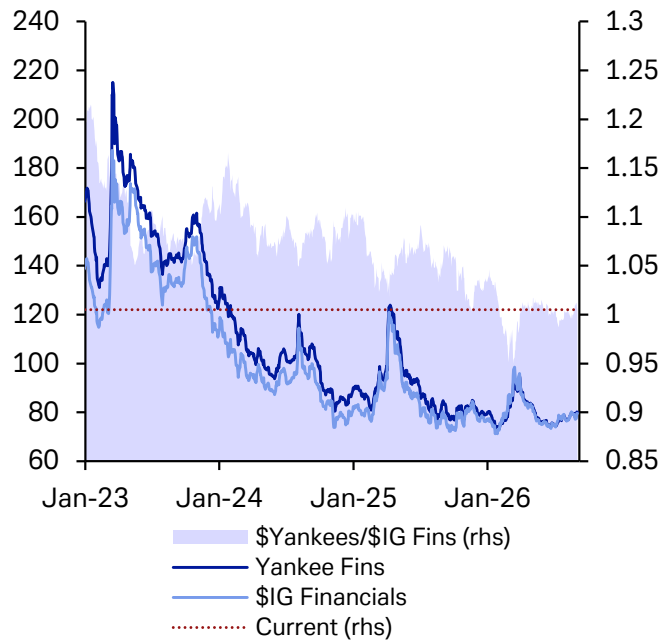
Looking at financials, **Yankees** have started underperforming in recent months but still trade too tight given the increasing growth and political risks. Higher energy prices and political risks (particularly in France) can cause Yankee banks to underperform while US growth remains above trend. We maintain our **large US banks overweight**, while sitting **underweight US consumer and regional banks**.

The private credit risks laid out above can come back to weigh on **BDC** credit, which are now trading near ytd tights. Non-traded vehicles will see more redemption requests as long as NAVs remain unmoored from the publicly traded vehicles. We are underweight the Finance Companies, of which BDCs are half of. Closing out



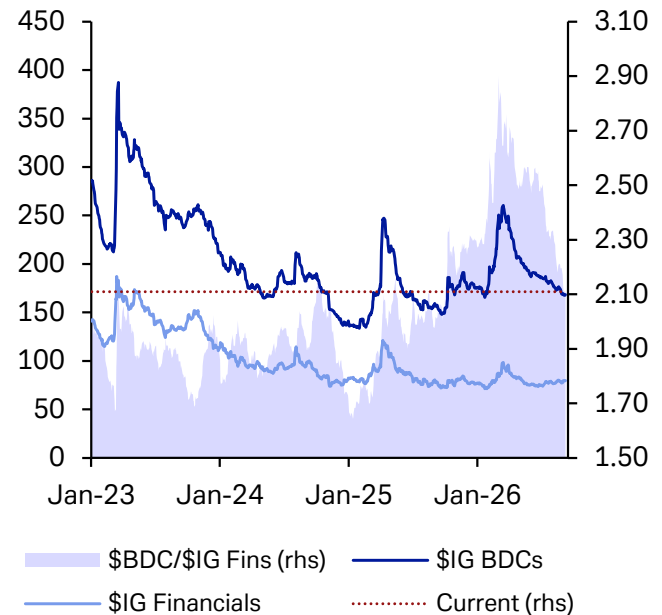
Financials we maintain our **underweight in Insurers**. Private credit concerns are impacting life insurers, ongoing cuts to medicaid benefits is a headwind for health insurers, while hurricane season is starting up and could see increased pressure on P&C insurers.

Figure 71: Greater European fundamental risks are not priced into Yankee Fins



Source : Deutsche Bank, Bloomberg Finance L.P.

Figure 72: BDC credits are trading near Jan'26 level, which is too tight given the underlying risks



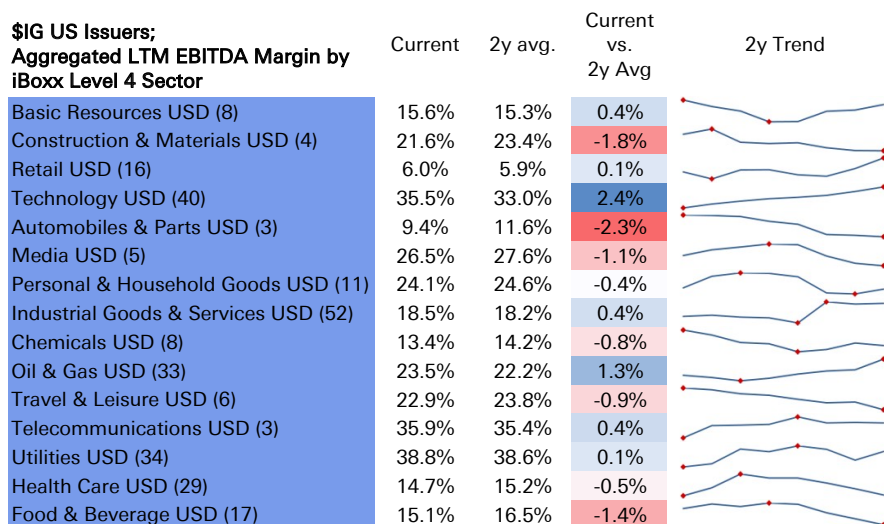
Source : Deutsche Bank, Bloomberg Finance L.P.

As we reference in the Macro section above, **US growth has started to broaden** out but the US economy is still very much K-shaped. EBITDA margin trends exemplify this to some extent, wherein **AI-capex linked sectors** like Tech, Industrial Goods, and Utilities along with commodity-linked sectors with pricing power like Energy and Basics are seeing margin expansion. Meanwhile, more **consumer-oriented sectors** like Autos, Media, and Food&Bev are seeing margin contraction.

Looking forward, higher commodity prices due to the Mid-East conflict and upcoming El Nino season are going to **further pressure margins** in select sectors. The average US diesel price has eclipsed the 2022 highs in recent weeks, which can filter through to a US consumer who does not have the excess savings that they had back during the outbreak of the Russian invasion.



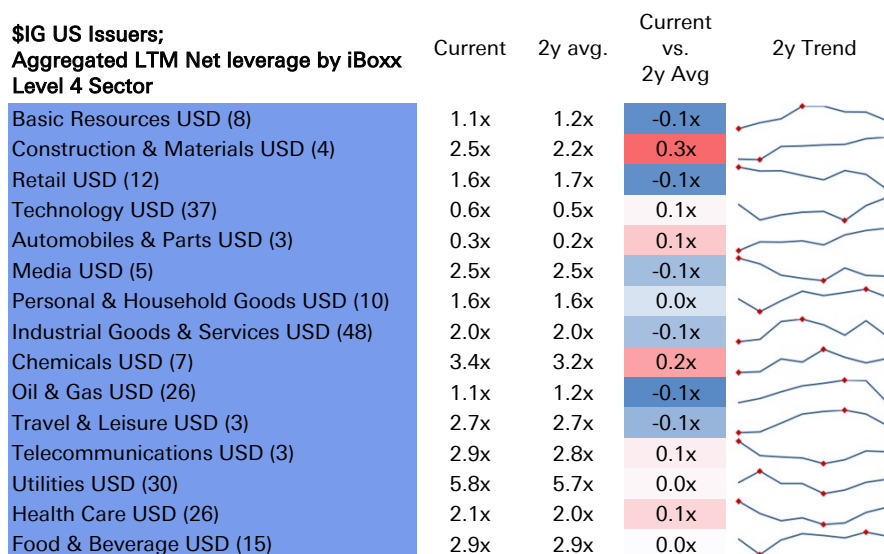
Figure 73: AI-Capex linked sectors have seen greater margin expansion



Source : Deutsche Bank, Cognitive Credit

The other fundamental theme to watch in \$IG, is the **diverging leverage trends** between cyclical and non-cyclical sectors. The non-cyclical sectors we track (Telecom, Utilities, Healthcare, and Food & Bev) are all seeing leverage trending higher in recent quarters, while also sitting at a higher average leverage level than their cyclical counterparts. The better earnings growth shown in figures 8 & 9 is driving this improvement in cyclical leverage.

Figure 74: \$IG non-cyc leverage is elevated vs cyclicals, and is trending higher



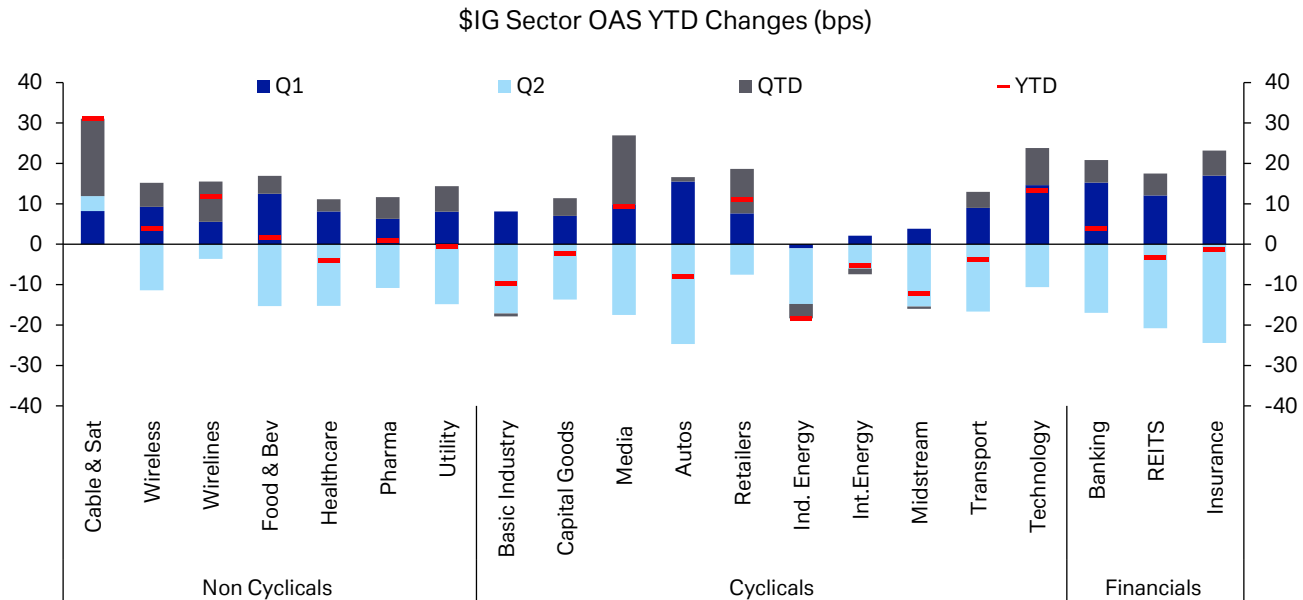
Source : Deutsche Bank, Cognitive Credit

Looking at ytd \$IG sector moves on quarterly basis, there is **little directional dispersion** this year. \$IG sectors have largely moved the same way as the rest of the index, with the industry beta being the largest differentiating variable. Energy and Industrial issuers have been the best cyclical performers along with Autos. Healthcare is the only non-cyclical sector meaningfully tighter ytd, with Cable the



main underperformer. Tech, Retail, and Media are the largest ytd cyclical underperformers due in part to their hyperscaler members.

Figure 75: Cyclical have largely outperformed YTD; Q3 has seen greater dispersion than Q2

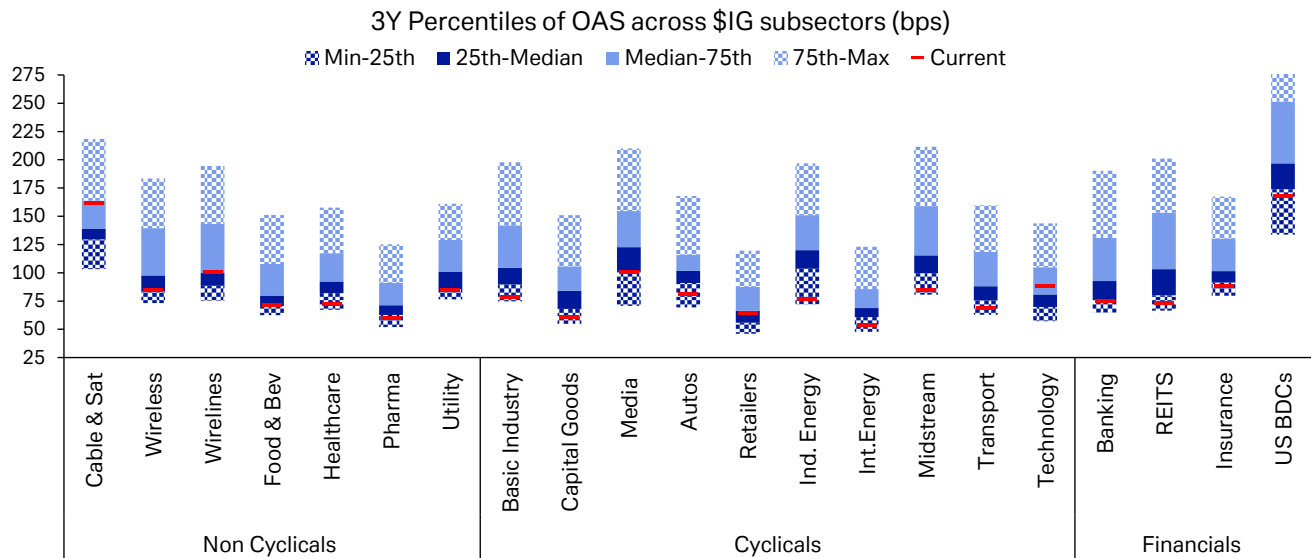


Source : Deutsche Bank, Bloomberg Finance L.P.

Valuations remain quite rich across most subsectors, even as some higher beta sectors have decompressed in recent weeks. With spreads having backed off long-term tights, very few \$IG subsector are still trading at recent tights but many still trade in their lowest quartile over the last 3 years. Every financial subsector is trading in its tightest quartile. Among non-cyclical subsectors, Cable & Satellite is trading at the tights of its widest quartile and Wirelines are near their recent median level while all other subsectors are trading tight. **Cyclical sectors are all largely trading tight**, with Media, Retail, and Technology the only subsectors not trading within their tightest quartile - again these are the sectors with at least one hyperscaler issuer.



Figure 76: Most \$IG sectors are trading in their tightest quartile over the last 3 years, particularly cyclicals and financials



Source : Deutsche Bank, Bloomberg Finance L.P.

Given relatively tight valuations and only marginally adjusting our spread forecast, we are mostly maintaining our sector preferences as noted above. Within cyclicals, we move **we move hyperscalers (ex-SPCX) to an overweight** from market-weight. The complex is trading relatively cheap and can outperform a marginal widening given their defensive nature. The space is trading wide relative to the index and **offers solid carry** and issuance worries should dampen as the issuance trends become more predictable. We do believe that the slower issuance pace of Q3 will persist, rather than returning to the rush of Q4'25 & Q1'26.

We remain **market-weight semiconductor** debt which trades tight but should continue to perform well, while also remaining **underweight \$IG software** exposed names which can trade with a higher beta as spec-grade software fears linger. **Basic Industrials and Cap Goods are an overweight** as both sectors are beneficiaries of the AI-capex cycle. Supply disruptions and geopolitical tensions are supporting metals prices and sector fundamentals within Basics. **We move Media to an underweight** due to M&A risks and firms needing to acquire larger content ecosystems to compete. We maintain our **UW in Autos** on the back of ongoing demand concerns and cost pressures. We would take profits in **Independent and Integrated Energy** subsectors and move them to a market-weight, while keeping **Midstream as an overweight** as they are in a growth phase driven by LNG and growing datacenter-related energy demand. We also maintain an **underweight in Transports**, which are trading relatively tight even as cost inflation and fuel prices remain credit risks.

Within Non-Cyclicals, we are **OW Utilities** as electricity demand is improving, led by data centers. After nearly two decades of flat demand, electricity sales increased mildly in both 2024 and 2025. The other Non-Cyclical **overweights are Wireless and Wirelines**, while remaining **underweight Cable & Satellite**. There is downgrade risk present in the Cable & Satellite space, while the Wirelines and Wireless names are largely higher quality. **Healthcare is an underweight** as the space trades tight and there can be more uncertainty in coming months as cost pressures have not been alleviated and there is ongoing uncertainty given changes to Medicaid, drug pricing reforms, and FDA regulations. We are **underweight Pharma**, particularly higher-



rated issuers, as the elevated M&A activity through the rest of 2026 and into next year could increase leverage and create rating pressure for acquiring firms.

Figure 77: \$IG Positioning Table

Positioning		Total	AA	A	BBB
	\$IG	78	61	66	94
	Financials				
OW	Banks	74	44	72	99
UW	Insurance	86	59	72	102
MW	REITs	73		58	85
UW	Finance Companies	135			135
	Cyclicals				
OW	Basic Industry	77	60	54	87
OW	Capital Goods	60	63	48	71
UW	Media & Entertainment	97	121	51	90
UW	Automotive	80		47	103
UW	Retailers	63	64	54	72
MW	Integrated Energy	53	47	52	91
MW	Independent Energy	75	58	66	80
OW	Oil Field Services	77		66	91
OW	Midstream	83		67	85
OW	Technology	87	56	70	117
UW	Transportation	67	66	64	72
	Non-Cyclicals				
UW	Cable & Satellite	162		115	198
OW	Wireless	84		85	84
OW	Wirelines	99		63	100
UW	Food & Beverage	70		51	89
UW	Healthcare	71	60	60	77
UW	Pharmaceuticals	59	47	58	77
OW	Utility	82	72	73	93

Source : Deutsche Bank, Bloomberg Finance L.P.

\$HY Ratings: Barbell BB and CCC risk, while avoiding tight Bs

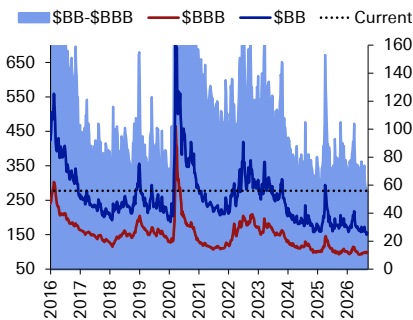
As we approach the final quarter of the year, HY spreads are -1bp tighter ytd. We discussed in our previous quarterlies how there have been **multiple narrative switches** through this year. Initially, Q1 was highlighted by the initial AI-disruption fears and private credit worries, before the first shock of the Iran war. This gave way to a strong Q2 as a pause in the war and improving US growth data led spreads to rally to near YTD tight. Q3 has seen a reversal to that Q2 optimism, as a sharp increase in oil prices has stoked inflation worries, leading to **wavering risk sentiment** as kinetic action increased and oil flows have not materially improved through the Strait of Hormuz. There has been a significant divergence within \$HY over the last 3 months as \$BBs and \$B spreads are 7bps and 25bps tighter respectively over the last quarter, while CCC spreads are 145bps wider. In percentile terms, BB and B spreads are in their 1st percentile since 2011, while CCC spreads are in their 72nd percentile.

Given the tight valuations of \$BB and \$Bs, and a high degree of dispersion in lower



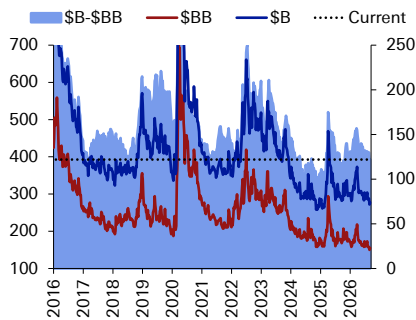
quality ratings, **we advocate a barbell of \$BBs & \$CCCs versus \$Bs**. While both \$Bs and \$BBs are trading tight to their higher-rated peers, \$CCC-B decompression is trading at levels more akin to economic distress. \$CCCs are pricing in a significantly higher premium than the rest of \$HY and in an environment with still relatively low rate vol and marginal growth risks we think there are opportunities to add carry within \$CCC. We are projecting defaults will continue to moderate in the coming months, while \$CCCs are currently pricing in a significant level default risk. CCCs can also rally back, if Warsh and the FOMC deliver fewer hikes than the market is pricing over the next 6-12 months.

Figure 78: Even as \$BBs are historically tight to \$BBBs



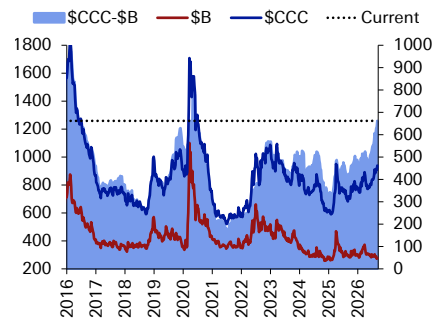
Source : Deutsche Bank, Bloomberg Finance L.P., ICE Indices

Figure 79: .. and \$B spread pickup remains historically low...



Source : Deutsche Bank, Bloomberg Finance L.P., ICE Indices

Figure 80: ...\$CCC underperformance is near crisis-era levels

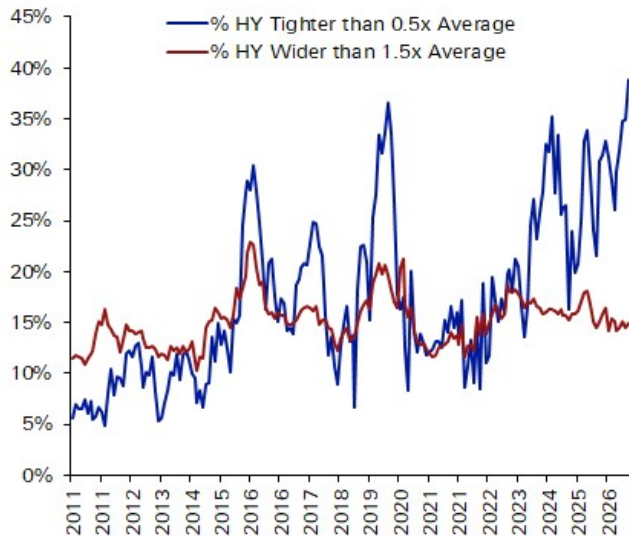


Source : Deutsche Bank, Bloomberg Finance L.P., ICE Indices

The high level of dispersion within \$HY is being driven primarily by the credits trading tighter than average. As figure 81 indicates, the share of \$HY bonds trading tighter than 50% of the index level is now at its highest level since 2011, having just eclipsed the previous highs from 2019 and 2024. The share of \$HY bonds trading 1.5x the index level has actually been largely stable over the past few years. The recent CCC widening is not just driven by distressed issuers, as even **the median \$CCC credit is trading ~600bps wide to the median \$B issue** (figure 82). While elevated relative to the rest of \$HY, these are not bonds pricing in imminent default risks and reinforces our preference to barbell of BB and CCC debt to boost carry through year-end.

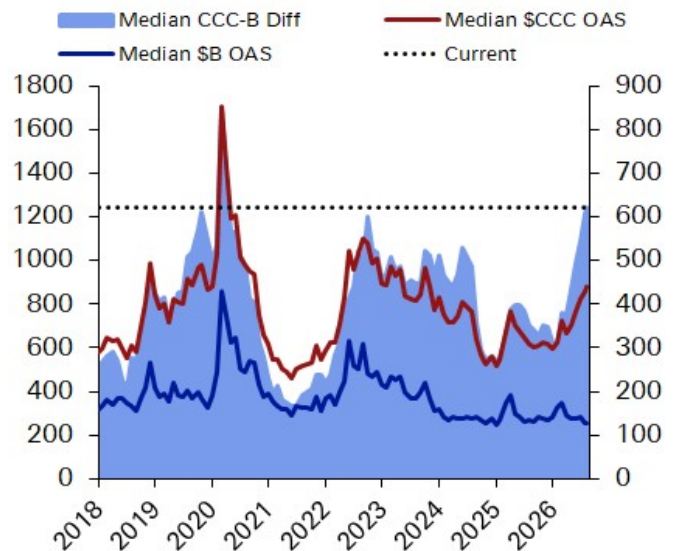


Figure 81: A record share of \$HY is trading tighter than 50% of the average index level



Source : Deutsche Bank, Bloomberg Finance L.P., ICE Indices

Figure 82: The CCC widening is not driven by just a few issuers, as even the median CCC bond is trading near covid-era wides to the median B-rated credit



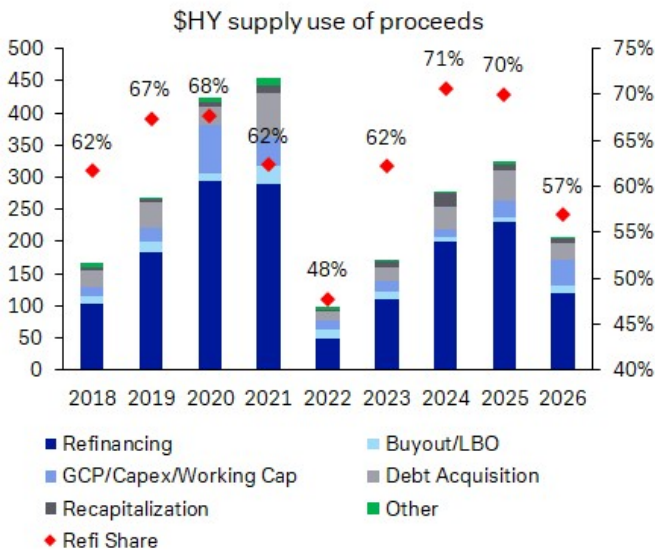
Source : Deutsche Bank, Bloomberg Finance L.P

\$HY Sectors: Datacenter deals have been a major theme of '26

There has been just under \$40bn of \$HY datacenter supply this year, making up roughly 20% of all \$HY issuance. Furthermore, **datacenter debt is roughly half of \$HY net supply** ytd. In fact, the datacenter binge has led to the highest share of \$HY use of proceeds marked as General Corporate Purpose/Capex that we have on record going back to 2005 at 19.7%. Some of the datacenter supply has also been marked for refinancing or acquisitions. Overall, Technology - where the vast majority of data center issuance is characterized - has seen a large jump in primary activity this year. **We project \$10-15bn of data center supply still to come this year**, taking the overall 2026 volumes to near \$55bn.

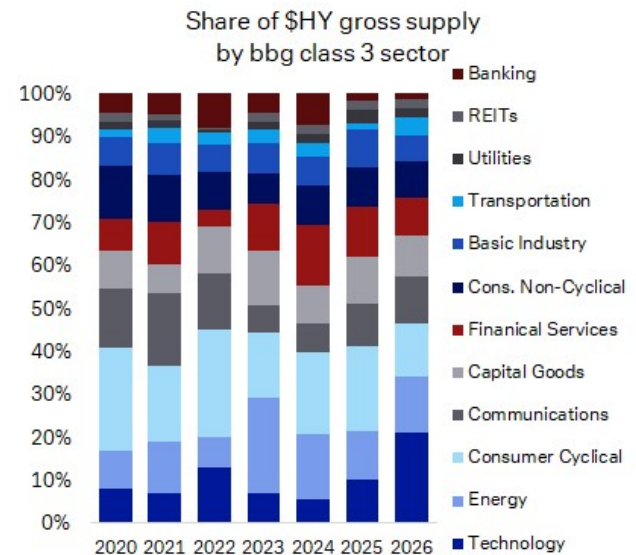


Figure 83: There has been an increase in the share of \$HY issuance for GCP/capex this year while refi has fallen



Source : Deutsche Bank, Pitchbook

Figure 84: The datacenter debt binge has led Tech issuance to make up a fifth of all \$HY supply

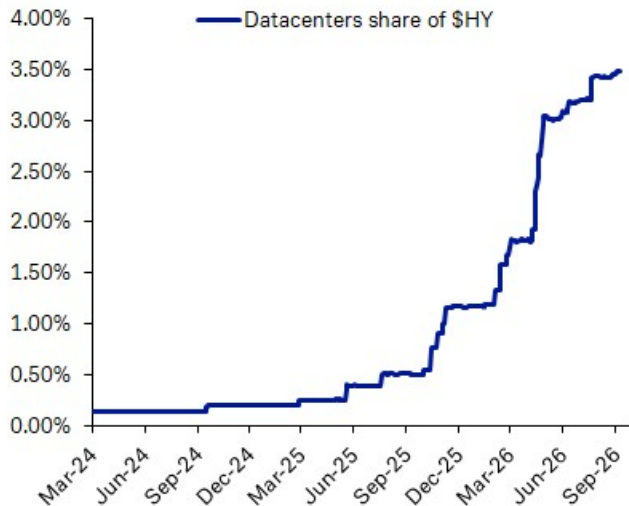


Source : Deutsche Bank, Bloomberg Finance L.P.

Datacenter debt now makes up nearly 3.5% of the \$HY index after being virtually nonexistent at the start of 2025. This is a similar story to the \$IG-rated hyperscalers, but, unlike in \$IG, there appear to be fewer worries about concentration risks at the moment. This is potentially because there is not the same extreme crowding affect out the curve that we are seeing in high-grade credit. The jump in issuance has come with periods of underperformance over the last 12 months, with data center debt currently trading +113bps wide to the \$HY index, after having been near flat back in June before the last bevy of deal flow. However, we saw just in the first half of this year that the complex can rally significantly even in the face of oncoming supply. We recommend a **market-weight position in \$HY datacenters**, with an eye to add on further weakness as supply increases into Q4. The sector is highly levered but is well supported by the AI-capex cycle in the short-term with the risk of obsolescence a long way away. Additionally, we would prefer the data centers have high-quality tenants in place through the life of current bonds.

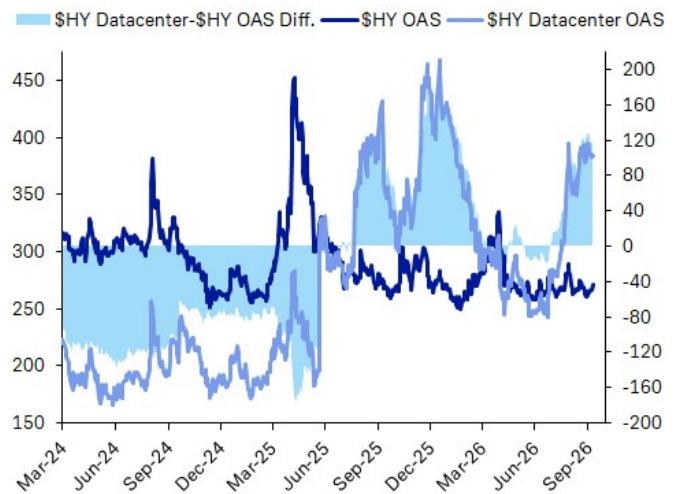


Figure 85: Over the last year datacenter debt has grown to 3.5% of the index



Source : Deutsche Bank, Bloomberg Finance L.P.

Figure 86: This growth in debt has led to periods of significant underperformance



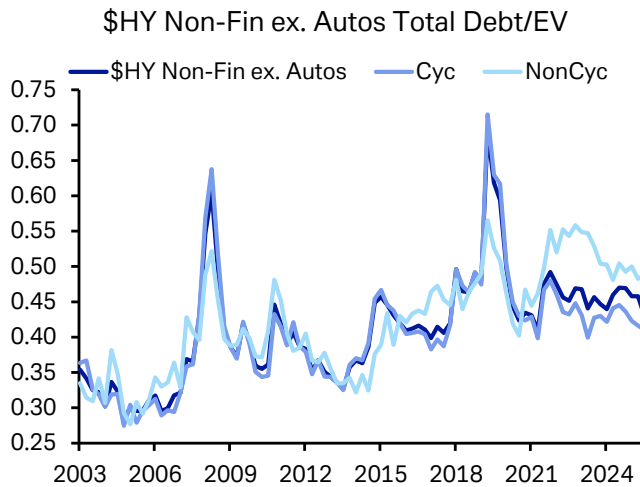
Source : Deutsche Bank, Bloomberg Finance L.P., ICE Indices

Cyclical \$HY sectors appear more attractive than non-cyclicals

Within \$-credit, **cyclical sector fundamentals are more sound**. This is especially true in spec-grade, given that the median \$HY cyclical firm's leverage on a Debt-to-Enterprise-Values basis is lower and continues to improve while **non-cyclical issuers have been more levered much of this cycle**. Non-cyclical leverage has remain stagnant at well above pre-Covid levels. Meanwhile, cyclical leverage is at the bottom of its post-Covid range and looks to have more downward momentum if earnings continue to widen out. Despite this fundamental divergence, cyclical spreads (ex-energy) are trading wider than Non-Cyclicals. Cyclical have started compressing back down in recent months as investors correctly are growing more concerned with rising rates and elevated leverage levels rather than growth softening.

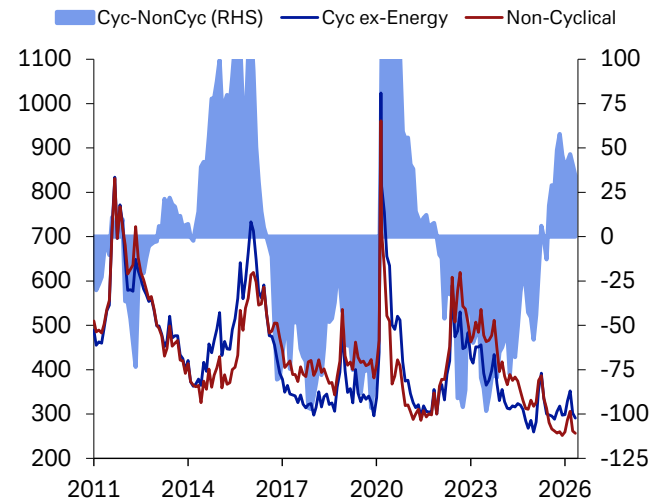


Figure 87: \$HY Debt/EV metrics have improved over the last several quarters led by better cyclical fundamentals



Source : Deutsche Bank, Bloomberg Finance L.P., ICE Indices

Figure 88: HY cyclical spreads ex-Energy have priced in elevated risks for multiple quarters, but this stress appears to be easing

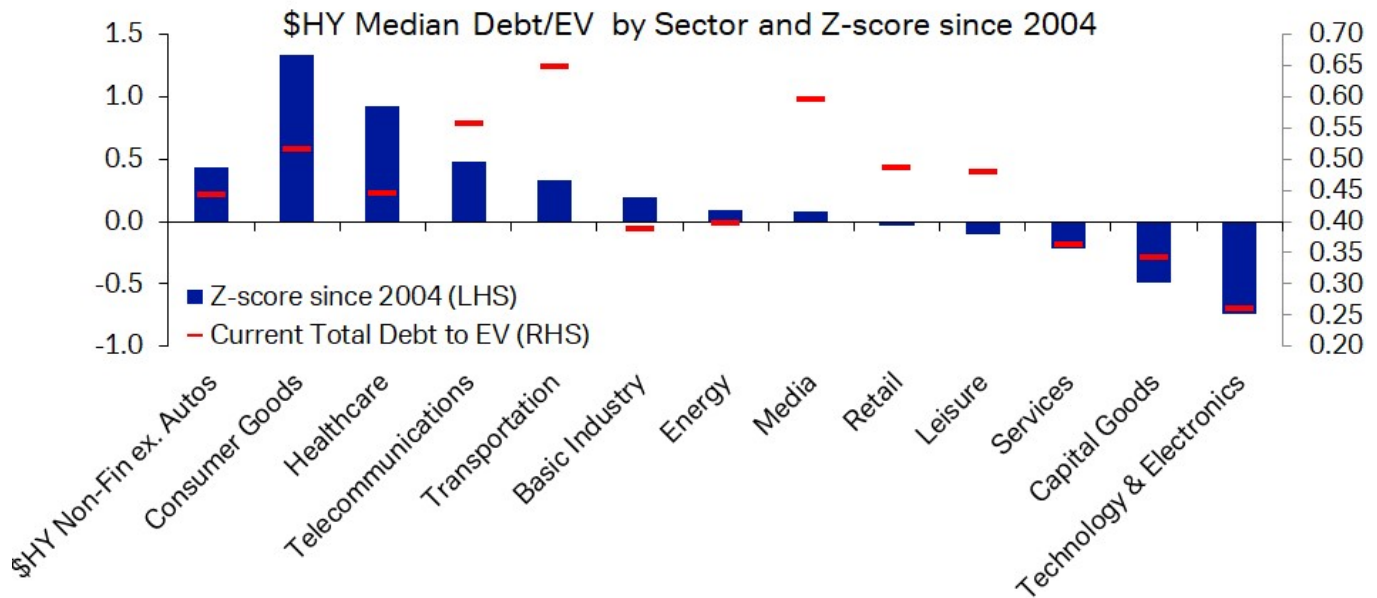


Source : Deutsche Bank, Bloomberg Finance L.P., ICE Indices

Continuing with our Merton Model style framework, where we use median Debt-to-EV at a sector level to determine how healthy corporate capital structures are. When looking at the current index members with publicly listed equities, the median **Transportation** and **Media** company have the highest leverage, though both are near the middle of their historic ranges back over 20 years. This sector breakout also highlights why **non-cyclical leverage is more concerning** with Consumer Goods, Healthcare, and Telecoms all seeing high leverage in their own history as well as relatively elevated leverage outright. Some cyclical sectors like Transports and Media have high leverage levels as well, but **the median issuer in most cyclical sectors has lower leverage than the index** as a whole with Tech and Cap Goods low in their own history as well.



Figure 89: Non-Cyclical Debt/EV leverage is high in its own history, while most cyclical leverage is better than the index as a whole

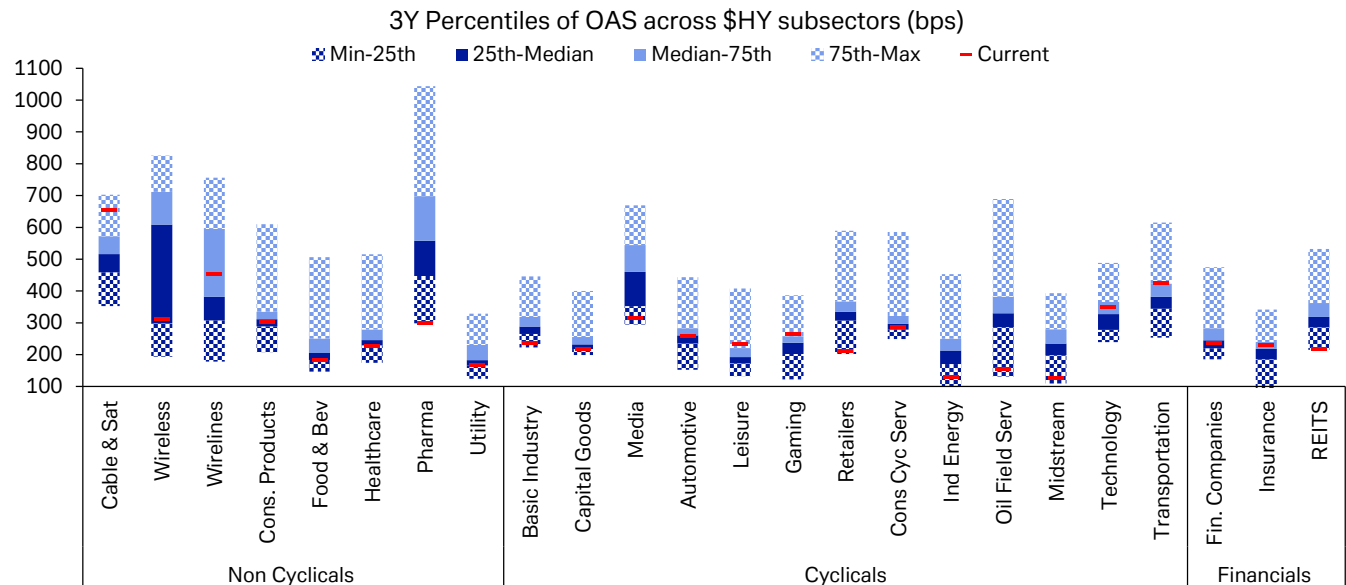


Source : Deutsche Bank, Bloomberg Finance L.P., ICE Indices

The spread widening over the last quarter has left **subsector valuations much more mixed** than those in the investment grade market. This is more in-line with the tail-end of Q1, even as index spreads are tighter than back then. Non-cyclical sectors are split between wider Telecoms, relatively tight Consumer Non-cyclical subsectors, and tight Pharma spreads. Cyclical sectors are bifurcated between **tight industrial-linked cyclical sectors** like Cap Goods, Basics, and Energy, while **consumer-linked cyclical sectors** like Retail, Autos, Leisure, and Transports are wider than their 3y median spread levels.



Figure 90: \$HY valuations are mixed with Telecoms and Consumer Cyclical sectors trading relatively wide, while Energy, Pharma, and Industrial names trading tight



Source : Deutsche Bank, Bloomberg Finance L.P., ICE Indices

With a forecast of \$HY spreads widening +50bps to 315bps by year-end investors, we maintain our overall sector preference wrapper, leaning away from consumer-oriented risks which are more acute in spec-grade markets, while aligning with the AI-buildout where we can.

Within cyclical sectors we remain **overweight Basic Industry**. The Middle East conflict has disrupted global supply chains, turning a chemical oversupply into a supply deficit, with US-based names better positioned. Additionally, US-based metal names also benefit from better pricing power on the back of higher USMCA tariffs. **Capital Goods are an overweight** despite some refi concerns for lower-rated names and concerns within the homebuilders, but the higher quality names are large beneficiaries of the AI-capex cycle. We move Technology to a underweight, with an **UW in Software** due to potential refinancing challenges and credit deterioration. We have **datacenters at a market-weight** as highlighted earlier .

\$HY Energy is trading tight and we have benefitted by being overweight the majority of the year, however we would take profits and **move the sector to market-weight** here as oil prices have risen again. The sector trades tight and would be vulnerable to a pullback in oil prices if tensions were to potentially ease again. Maintain an UW in **Transportation** companies due to pressure from labor, maintenance, regulatory, and fuel costs.

In terms of Non-Cyclicals, we are more **cautious on Consumer Staples, Healthcare and Pharma** names that are trading relatively tight and also have higher leverage in their own histories. We highlighted in our [Default Study](#) that these sectors would also come under additional pressure if multiples compress on the back of a more hawkish Fed coming to fruition. Within Telecoms we also **prefer Wirelines and Wireless relative to Cable & Satellites** where an outsized share of distressed \$HY debt is concentrated.



Figure 91: \$HY Positioning Table

		Total	BB	B	CCC
	\$HY	265	147	254	890
	Financials				
UW	Finance Companies	239	170	352	1616
MW	Insurance	236	175	257	353
MW	Real Estate	228	163	219	231
	Cyclicals				
OW	Basic Industry	250	131	224	1015
OW	Capital Goods	222	105	218	866
UW	Media & Entertainment	325	183	286	706
UW	Consumer Cyclicals	235	138	251	824
OW	Consumer Cyc Services	286	113	286	766
MW	Energy	133	113	165	234
UW	Technology	365	238	398	1260
UW	Transportation	446	154	556	1489
	Non-Cyclicals				
UW	Cable & Satellite	678	214	151	2998
OW	Wireless	321	319		325
OW	Wirelines	442	166	252	1136
UW	Consumer Non-Cyclicals	245	113	236	589
UW	Healthcare	236	94	277	628
UW	Pharmaceuticals	292	75	82	426

Source : Deutsche Bank, Bloomberg Finance L.P.



Appendix 1

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